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Alphabet: converting AI demand into earnings and cash

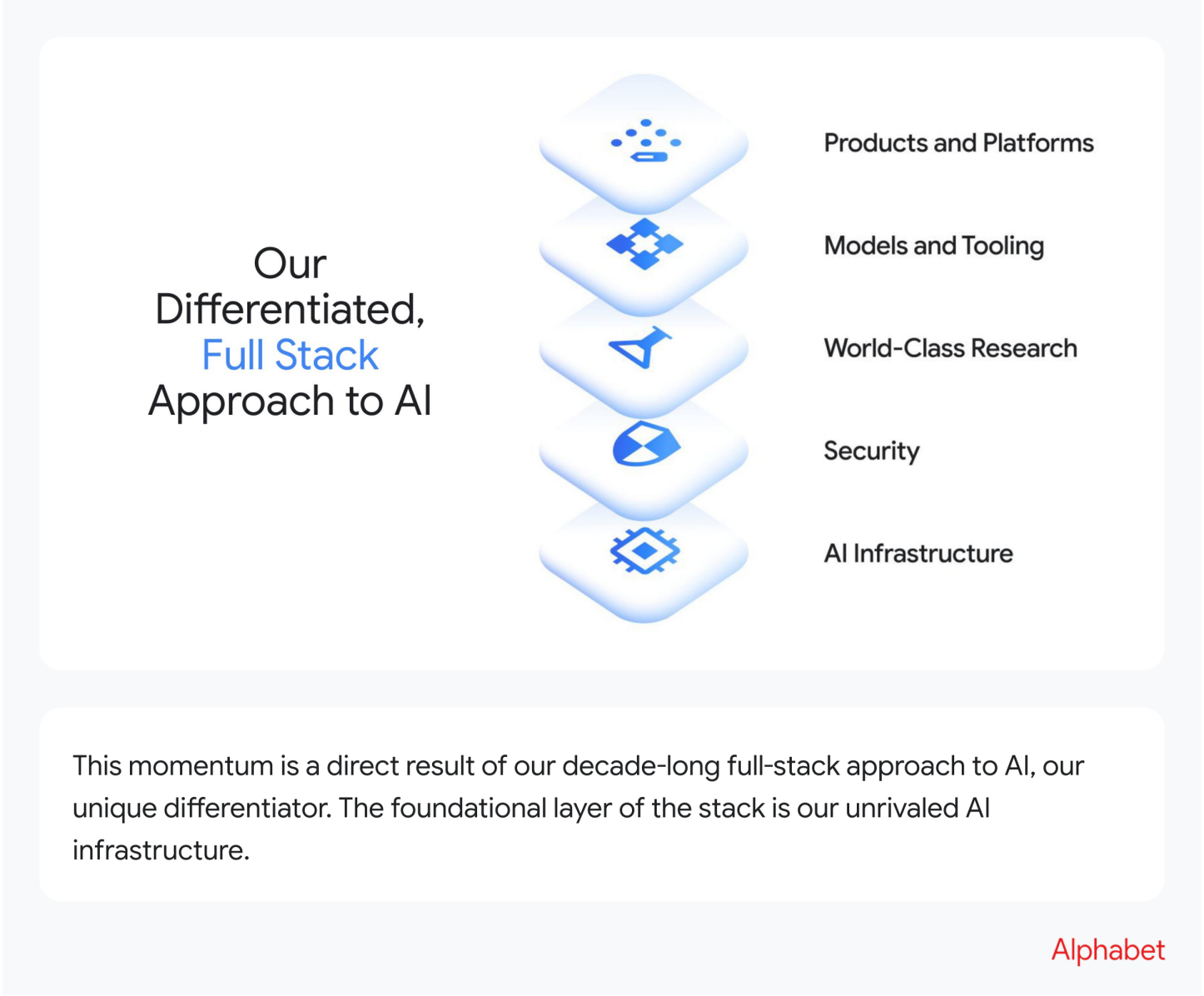
Alphabet connects consumer distribution, enterprise software, frontier models and custom chips. The investment case requires paid use and retained operating profit while infrastructure, inventory and financing absorb substantial cash.

The current Q4 2027 ceiling is about USD 330 per share. It uses USD 204,982 million of operating profit across Q4 2027 through Q3 2028, multiplied by 20 and divided by the starting-quarter economic share proxy. The forecast assumes future financing becomes available on the stated terms.

Research snapshot	Current assessment
Research date	4 November 2026
Latest actual	Q3 ended 30 September 2026; released 28 October
Method	20x current quarter and next three quarters of OP
Active window	Q4 2027 through Q3 2028
Starting economic shares	12,422,458,250
Analytical assessment / Excel Base	50/60 =83%; protected Base 88

Financial tables use USD million unless stated otherwise. Displayed amounts are rounded to whole numbers. Exact values remain in the linked model. Reported totals have high source confidence. Future product mix, costs, timing and financing remain LOW estimates.

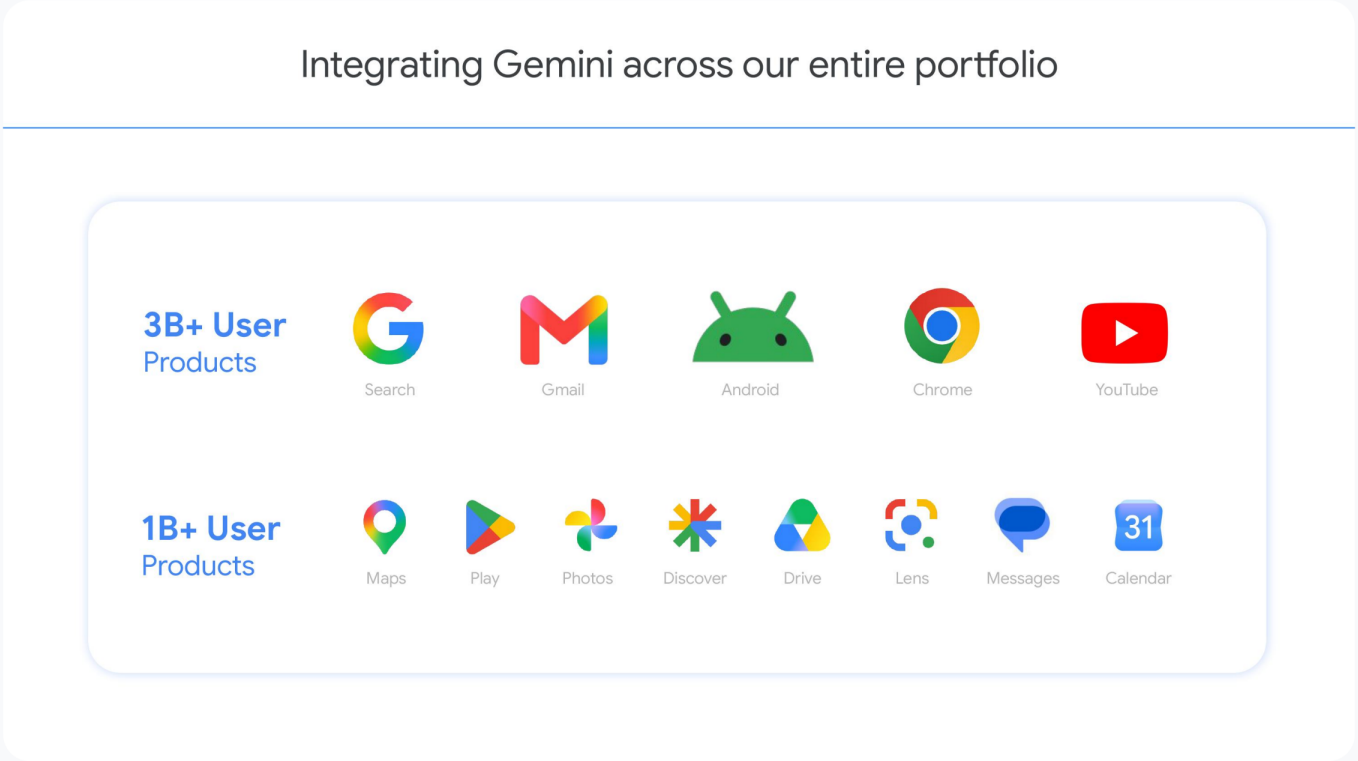
The integrated product chain



Google combines chips, infrastructure, models and products. Source: Alphabet original, 2026-06-02, page 15.

Search and YouTube monetize advertising intent. Subscriptions, Workspace and Cloud monetize recurring use. Customer-owned TPU systems earn manufacturing, software and support revenue at different recognition points. Each customer workload is counted once.

Distribution creates an opportunity



Products connect Alphabet with consumers and enterprises. Source: Alphabet original, 2026-06-02, page 29.



The latest quarter shows growth and adoption across products. Source: q3 slides, page 4.

Management reported one billion Gemini users and nearly 32 billion first-party API tokens per minute. Paid, free and cached activity have different economics. The model converts only defined, bounded paid-use assumptions into incremental revenue.

Q3 reported financial results

Alphabet Income Statement

in Millions, except Percentages and EPS; unaudited

	Q3'25	Q3'26	Y/Y
Revenues	**$102,346**	**$127,577**	**25%**
Costs and Expenses:			
Cost of Revenues	41,369	51,419	24%
Research and Development	15,151	20,640	36%
Sales and Marketing	7,205	8,804	22%
General and Administrative	7,393	6,138	(17%)
Total Costs and Expenses	**71,118**	**87,001**	**22%**
Income from operations	**31,228**	**40,576**	**30%**
Other income (expense), net	12,759	(8,221)	NM
Income before income taxes	43,987	32,355	(26%)
Provision for income taxes	9,008	5,887	(35%)
Preferred stock dividends	-	298	N/A
Net income available to common stockholders	**$34,979**	**$26,170**	**(25%)**
Diluted EPS per Common Share	**$2.87**	**$2.12**	**(26%)**

**NM = Not Meaningful

The latest income statement anchors the forecast. Source: q3 slides, page 5.

Reported line	USD M
Revenue	127,577
Cost of revenue	51,419
Gross profit	76,158
R&D	20,640
Sales and marketing	8,804
G&A	6,138
Operating expense	35,582
Operating profit	40,576
Net income	26,468

SBC, ordinary legal costs, payroll, depreciation and product support remain operating costs. Investment gains, interest and taxes sit below OP.

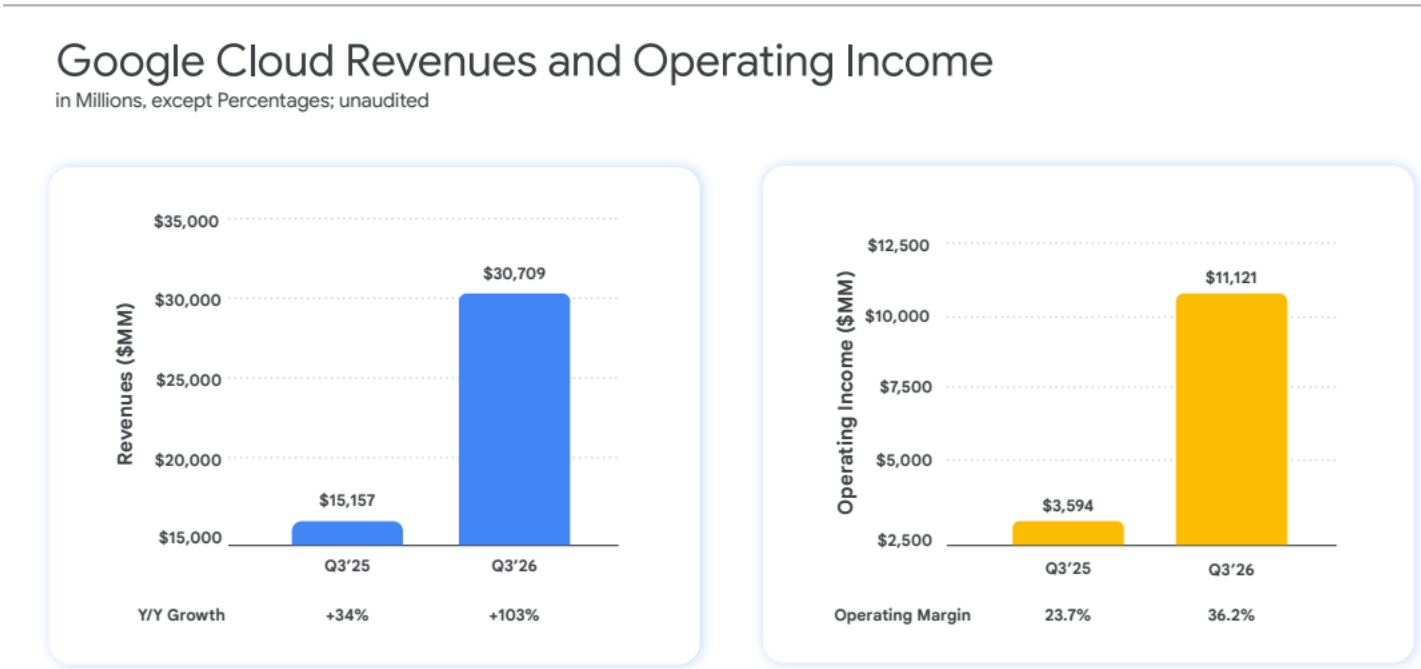
The actual-to-recurring operating bridge

Step	USD M
Reported Q3 OP	40,576
Dated DMA fine	1,000
Recurring comparison OP	41,576
Revenue hedge	194
Same-scale recurring OP with zero forward hedge	41,382

The discrete DMA principal is removed from recurring cost calibration. Reported Q3 stays unchanged. Allocation to Services is a LOW assumption because the source identifies Play and Search but does not disclose an exact segment allocation. The alternative shared-cost allocation is tested. Ordinary legal costs remain.

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Segment economics and analytical allocations



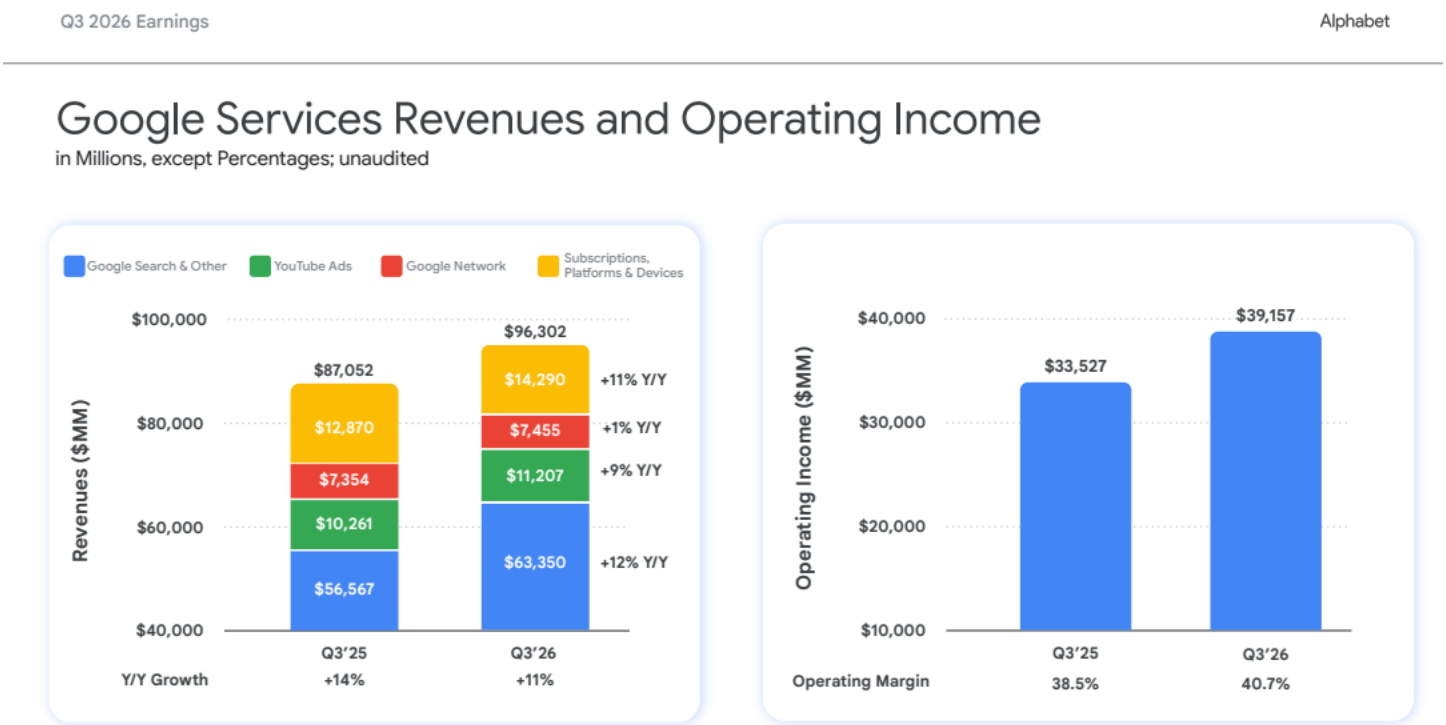
Cloud revenue and operating income increased in Q3. Source: q3 slides, page 9.

Q3 segment	Revenue	OP
Services	96,302	39,157
Cloud	30,709	11,121
Other Bets	372	-2,047
Hedge / Alphabet-level	194	-7,655

The issuer reports segment profit and total expenses. Product gross margins and the hosted-versus-system split are undisclosed. Seven analytical product allocations reconcile to reported consolidated cost. Their individual margins remain LOW estimates.

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Search: query growth and monetization



Services includes advertising, subscriptions, platforms and devices. Source: q3 slides, page 8.

Search revenue was USD 63,350 million. Paid clicks rose 8% and cost per click 4% year over year. Management attributed deceleration partly to currency, industry-specific advertiser effects and lower monetization of AI Mode queries. More queries do not establish the same percentage increase in revenue.

Each Services product retains the prior quarterly growth and seasonality pattern, reanchored to its actual Q3 amount. No universal AI revenue multiplier is added. q3 call.

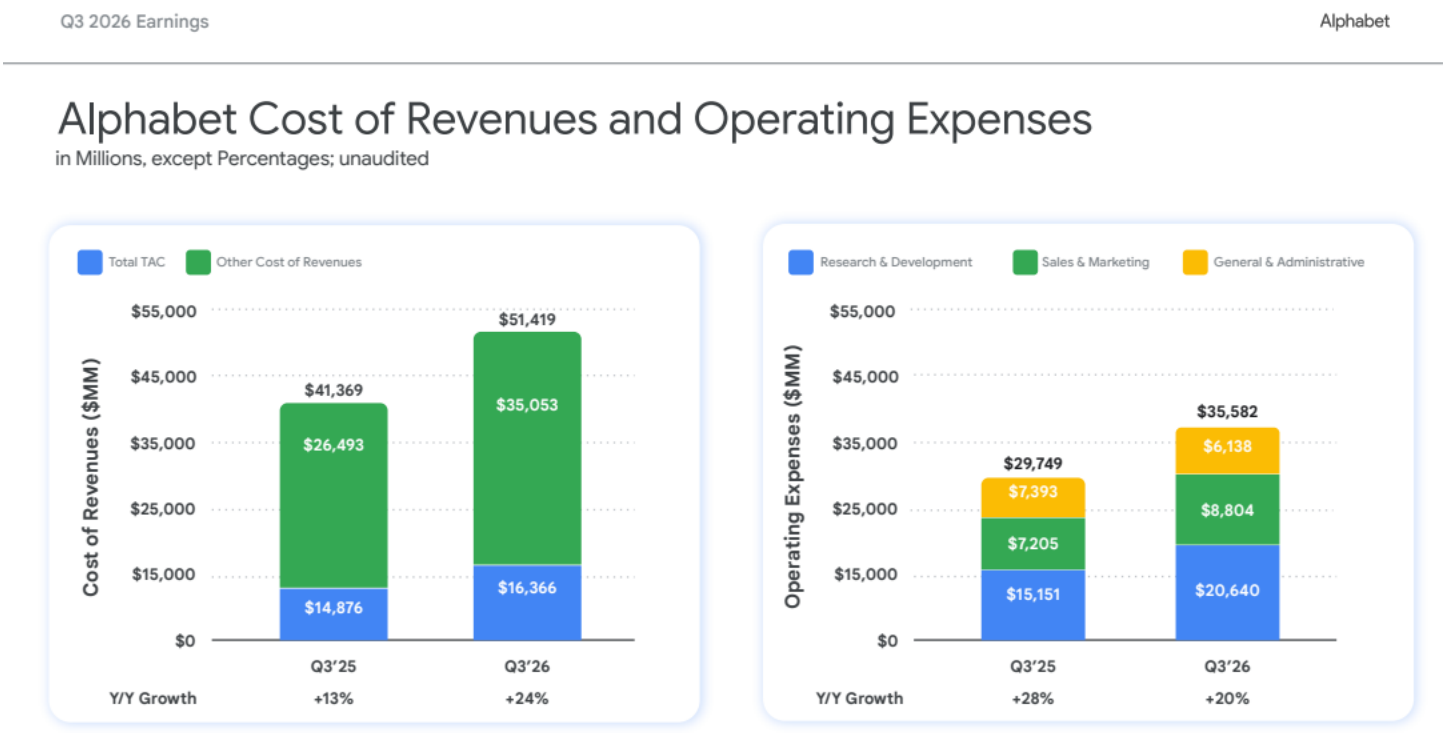
YouTube, Network and subscriptions

YouTube advertising revenue was USD 11,207 million. Management highlighted Living Room advertising, Direct Response and subscription growth. Subscriptions, platforms and devices generated USD 14,290 million. Network generated USD 7,455 million and retains its own traffic and regulatory economics.

Q3 product	Revenue	Analytical COGS	Analytical GP
Search and other	63,350	16,471	46,879
YouTube advertising	11,207	7,285	3,922
Network advertising	7,455	5,591	1,864
Subscriptions platforms devices	14,290	7,860	6,430

The legacy Network fee exposure is first removed from the inherited ordinary-revenue reference. The current fee scenario is then applied once.

Services costs and shared AI development



Reported costs constrain future margins. Source: q3 slides, page 7.

Services non-depreciation, non-lease COGS is 80% variable and 20% fixed, with 5% annual fixed growth. Operating costs are 70% variable and 30% fixed. Explicit depreciation, leases and finite intangible amortization are added separately. Shared non-depreciation AI costs grow 20% annually from the current calibration.

These allocations retain compensation, content, traffic acquisition, support and ordinary legal expense. Historical serving-efficiency claims receive no second blanket cost reduction.

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The newest two management calls

Call	Written coverage	Main evidence
28 October 2026 Q3	Complete 23-page issuer transcript, all Q&A	Cloud growth, system inventory, AI-query monetization, bridge costs and capex
22 July 2026 Q2	Verified complete 27-page issuer transcript reused by hash	First system sales,2027 timing, bridge capacity and capital investment

The full written records are preserved. Original audio was not independently listened to. q3 call; q2 call.

Cloud demand and backlog

revenues were up 103% to $30.7 billion, driven by strong growth in GCP, with strength in AI, including both AI infrastructure and AI solutions and Core GCP.

TPU systems sales were also a meaningful contributor. GCP accounted for the vast majority of the revenue generated in Q3. The Cloud revenue growth rate, excluding the impact of TPU systems, was again incredibly strong.

Cloud operating income was $11.1 billion, more than tripling year-over-year. Operating margin increased from 23.7% in the third quarter last year to 36.2%.

The third-party bridging capacity, which we discussed on our prior call, came online only at the very end of Q3 and, therefore, had limited negative impact to our margin in the quarter.

Google Cloud's backlog was $561 billion in the third quarter, with the majority of the backlog related to typical GCP contracts. We expect to recognize just over 55% of the total backlog as revenues over the next 24 months.

In Other Bets, revenues were $372 million, and the operating loss was $2 billion dollars as we continue to expand Waymo's business and invest in key Other Bets.

In Alphabet-level activities, the operating loss was $7.7 billion, driven by shared AI R&D expenses.

I'll now turn to our outlook for the remainder of 2026. First, in terms of revenues, at current spot rates, we would expect a slightly larger FX headwind to our consolidated revenues in Q4, relative to the prior quarter. This impact will be seen primarily in Search and YouTube Ads.

In Google Services, we will continue to lap the Search performance acceleration that began in the third quarter last year, which will pressure revenue growth in Q4.

In Google Cloud, we expect TPU system sales to continue to scale in Q4, followed by a meaningful revenue ramp in 2027. With respect to Cloud margins, given the supply-constraint environment, we started utilizing third-party compute capacity at the end of Q3 and will ramp usage in Q4. We expect margin headwinds in the near-term as we utilize this capacity.

Moving to investments, our full-year 2026 CapEx guidance range of $195-$205 billion remain unchanged. We continue to expect our CapEx to increase significantly in 2027, and we'll provide further details on our Q4 call.

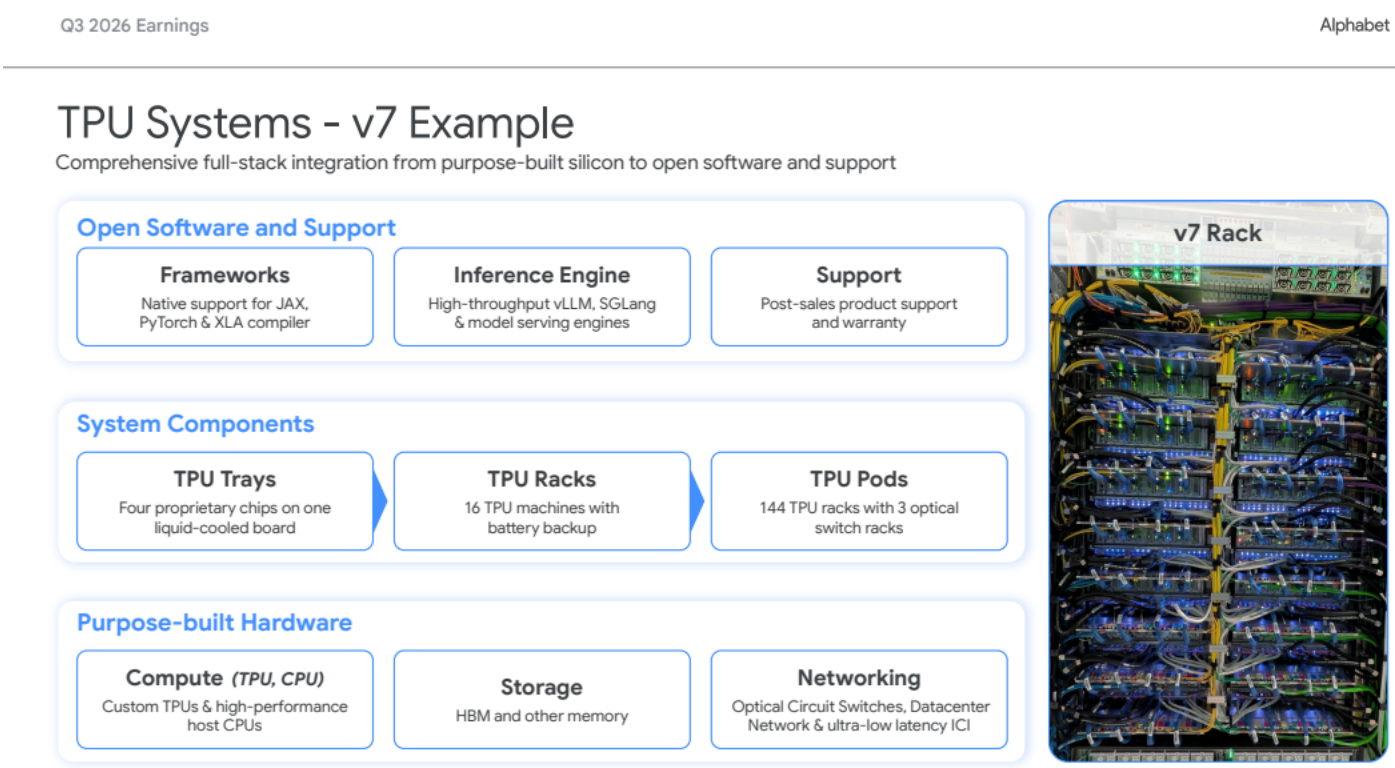
In terms of expenses, the significant increase in our investment in technical infrastructure will continue to weigh on the P&L in the form of higher depreciation expenses and related data centers' operation costs such as energy.

Management explains growth, backlog and near-term rental costs. Source: q3 call, page 12.

Cloud generated USD 30,709 million revenue and USD 11,121 million OP. Backlog was about USD 560,800 million, with just over 55% expected during the following 24 months. The balance includes hosted services, customer-owned systems and deferred revenue.

Backlog, Crux and other customer announcements support one Cloud envelope. Conversion requires accepted systems, available capacity, customer use and payment. Contract ceilings receive no second sales addition.

TPU systems include manufacturing and support



The issuer shows chips, storage, networking, software and support. Source: q3 slides, page 10.

Operator: Our next question comes from Ross Sandler with Barclays. Your line is now open.

Ross Sandler, Barclays: Thanks. I want to just stick with the TPU resale business topic you just mentioned.

So, Anat, last quarter you kind of said that the revenue will be recognized on system sales, I believe. So if a gigawatt of TPU full system costs around $35 billion for the compute and all the components around it, what percent of that are we actually recognizing as revenue? And what kind of flow-through does that have in terms of margin profile relative to where the Google Cloud segment currently sits?

And then, I guess the second part of the question would be, as you help companies like Anthropic bring on more of their own kind of first-party infrastructure, what does that mean for the CapEx intensity of Alphabet as you start to kind of hand off some of the future CapEx to the AI labs and may not require as much CapEx intensity on your own -- in your own data centers? Thoughts on that would be great.

Anat Ashkenazi, SVP and CFO, Alphabet and Google: Let me combine these two questions. First, obviously, we don't provide specific financials at the product level, but let me walk through how to think about the financials associated with the TPU system sales.

And obviously, just as a reminder, and Thomas can elaborate on that as well, a TPU system is not just a chip, but it's a specialized system that combines multiple things, including hardware, compute, storage, networking. So we are selling much more than just a chip. Software, training, inference -- there is a significant added value that's being provided to the customer that's purchasing a TPU system.

And the way this works, and this is linked to your second portion of the question, when we sign an agreement with a customer to sell TPU systems, once we sign that agreement, you'll first see that showing up in our backlog. And then we start building inventory. So think about this from a CapEx versus cash perspective.

We build the inventory ahead of getting the revenue stream in. So I think I've alluded to this on the previous call. You see inventory balances go up, where previously inventory balances primarily were some of our hardware products. Now those TPU systems that are not yet sold will be showing up; so you see cash going out, and we're building up the inventory base.

And then as we start delivering and billing customers for these TPU systems, then you see cash coming in. So it's not the traditional kind of CapEx as you're thinking about this, and I think that's the essence of your question, but rather a different cycle of cash flow generation.

Now, given that we are in the process of building up and ramping up that business,

Management describes contracted inventory procurement before delivery. Source: q3 call, page 18.

The Q3 calibration assigns USD 2,500 million of Cloud revenue to customer-owned systems. This undisclosed split is LOW confidence. Manufacturing and warranty cost is 75% of system revenue and operating support 8%, leaving 17% contribution before shared costs. Alternative splits and 20%/30% gross margins are tested.

Transferred systems receive manufacturing and support costs. Google-owned hosted equipment receives separate depreciation. Procurement, acceptance, recognized sales and collection occur at different times.

Hosted Cloud economics

Q3 analytical calibration	USD M
Hosted revenue	28,209
Hosted non-D&A/non-lease COGS	7,884
Hosted non-D&A/non-lease opex	4,120
Fixed quarterly Wiz amortization	248

Hosted COGS is 80% variable and 20% fixed; fixed costs grow 5% annually. Hosted opex is 70% variable and 30% fixed, with 8% annual fixed growth. Owned depreciation, explicit leases, support and acquisition amortization are paid once.

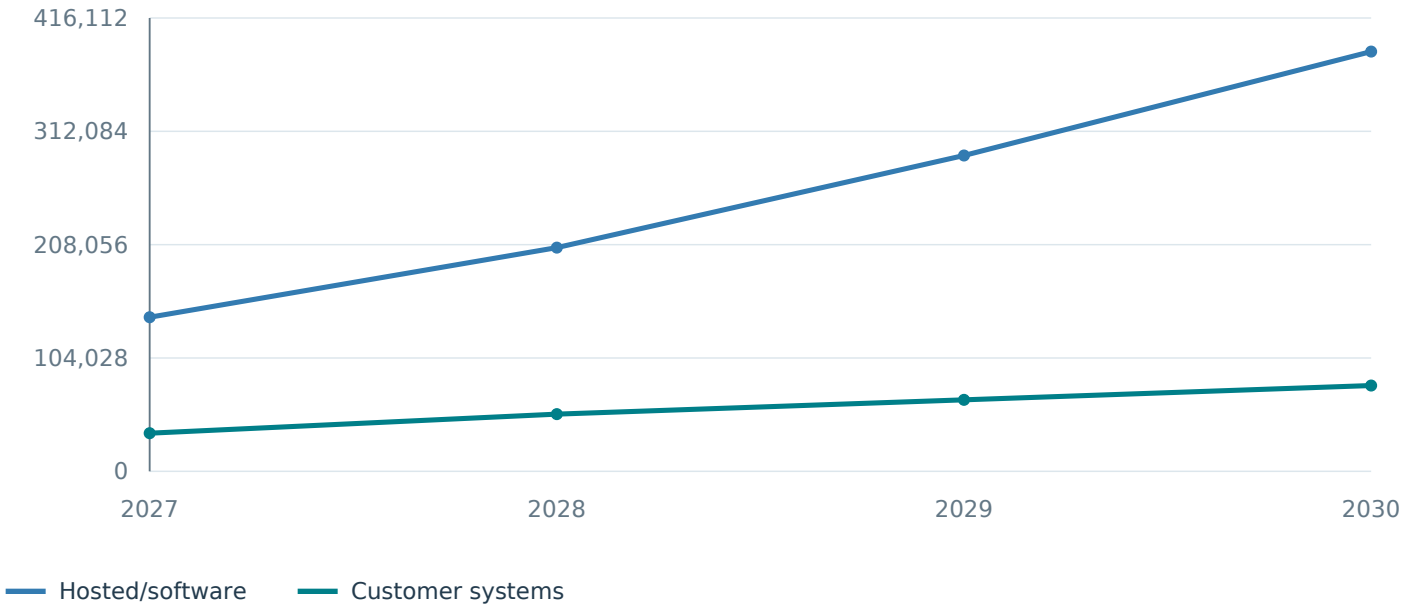
Coherent operating outcomes

Outcome	Weight	Growth and cost rule
Planned delivery and paid use	75%	Existing foundation plus full planned excess
Half excess conversion	25%	Existing foundation plus half planned excess

The foundation is Q3 Cloud revenue growing 5% annually. Actual sales exceeded the prior planned Q3 endpoint and contracted inventory supports conversion. The weaker case retains full committed capital, fixed costs and rental commitments. Probabilities are analytical judgments.

Annual Cloud revenue mix

USD million



Model estimates. Exact values come from the same financial calculation.

Year	Hosted	Systems	Total
2027	141,445	35,000	176,445
2028	205,340	52,500	257,840
2029	289,900	65,625	355,525
2030	385,288	78,750	464,038

Temporary capacity has a finite cost

revenues were up 103% to $30.7 billion, driven by strong growth in GCP, with strength in AI, including both AI infrastructure and AI solutions and Core GCP.

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In terms of expenses, the significant increase in our investment in technical infrastructure will continue to weigh on the P&L in the form of higher depreciation expenses and related data centers' operation costs such as energy.

Third-party capacity arrived near Q3 end and expands in Q4. Source: q3 call, page 12.

The source reports USD 109 million short-term lease cost in Q3 and about USD 6,000 million of remaining commitment. The model allocates that remaining cost over Q4 2026 through Q3 2027 at USD 1,500 million per quarter. Legal duration and quarterly payments are undisclosed.

The Q3 amount is removed from the ordinary hosted cost calibration before future rent is added. Both operating outcomes pay the full modeled commitment. Renting capacity creates no second revenue stream or owned-asset depreciation.

Operating leases and future commitments

	As of December 31, 2025	As of September 30, 2026
Operating leases:		
Operating lease assets	$ 15,221	$ 20,273
Accrued expenses and other liabilities	$ 3,209	$ 3,693
Operating lease liabilities	12,744	16,815
Total operating lease liabilities	$ 15,954	$ 20,508
Finance leases:		
Property and equipment, at cost	$ 6,822	$ 10,619
Accumulated depreciation	(2,025)	(2,914)
Property and equipment, net	$ 4,797	$ 7,705
Accrued expenses and other liabilities	$ 441	$ 1,053
Other long-term liabilities	2,059	2,652
Total finance lease liabilities	$ 2,500	$ 3,705

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2025	2026	2025	2026
Cash payments for lease liabilities:				
Operating cash flows used for operating leases	$ 850	$ 998	$ 2,511	$ 2,815
Operating cash flows used for finance leases	$ 17	$ 25	$ 48	$ 60
Financing cash flows used for finance leases[1]	$ 92	$ 1,110	$ 394	$ 1,950
Assets obtained in exchange for lease liabilities:				
Operating leases	$ 1,061	$ 3,263	$ 2,589	$ 7,002
Finance leases	$ 383	$ 2,085	$ 989	$ 2,987

(1) Additionally, during the three and nine months ended September 30, 2026, we made $159 million and $994 million of lease prepayments for leases not yet commenced, respectively, which are expected to be accounted for as finance leases.

Future lease payments as of September 30, 2026 were as follows (in millions):

	Operating Leases	Finance Leases
Remainder of 2026	$ 901	$ 771
2027	3,947	499
2028	3,451	487
2029	3,082	466
2030	2,543	395
Thereafter	10,515	1,712
Total undiscounted lease payments	24,439	4,330
Less: imputed interest	(3,931)	(625)
Total lease liability balance	$ 20,508	$ 3,705

As of September 30, 2026, we have entered into leases, primarily related to data centers and energy infrastructure, that have not yet commenced with future lease payments of $130.5 billion that are not yet recorded. These leases will commence between 2026 and 2031 with non-cancelable lease terms between one and 26 years.

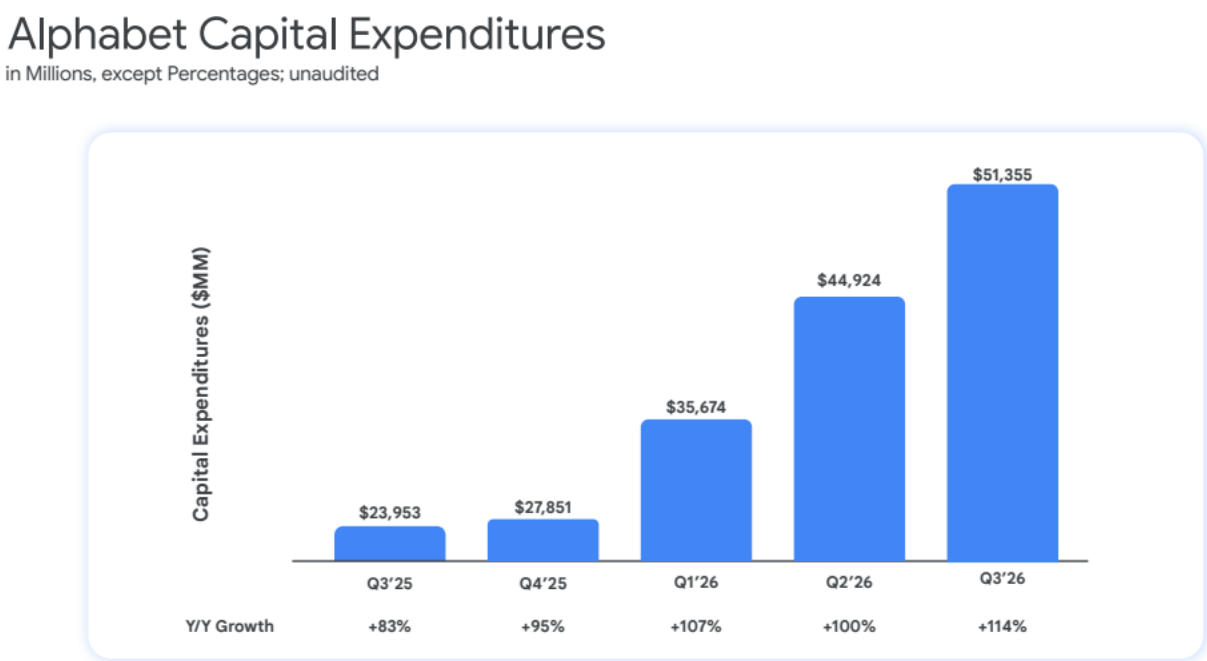
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The filing separates operating, finance and uncommenced leases. Source: q3 10 q, page 26.

The full USD 998 million Q3 operating lease expense is extracted from the source calibration. A LOW 35% Services,55% Cloud and 10% shared allocation carries the same expense forward, growing 5% annually. Cash replaces this exact expense with scheduled operating-lease payments.

Uncommenced payments total USD 130,500 million, with starts in 2026-2031 and terms of one to 26 years. A bounded residual-cost provision adds about USD 326 million per quarter from 2027. Classification, timing and overlap remain uncertain; zero and doubled provisions are tested.

Capital spending and asset readiness

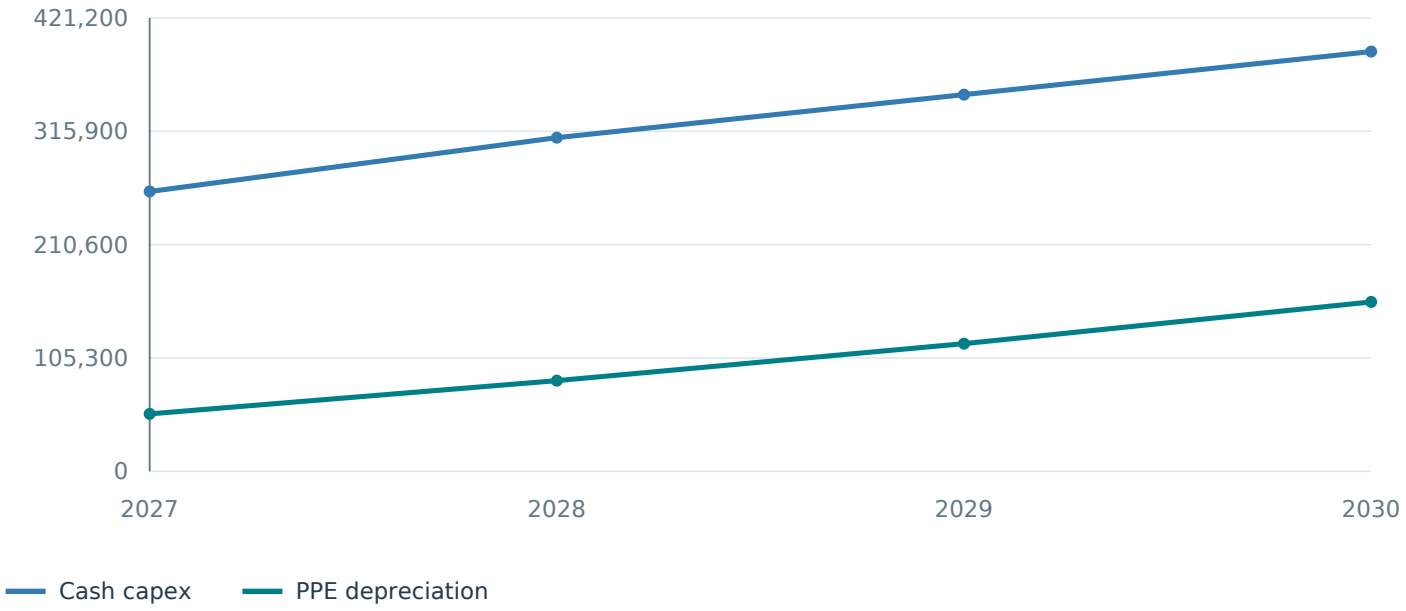


Q3 capital spending was USD 51,355 million. Source: q3 slides, page 11.

Management retained USD 195-205 billion of 2026 capex guidance and expects a significant 2027 increase. The model selects USD 200 billion in 2026, then USD 260/310/350/390 billion in 2027-2030. Later budgets are LOW analytical assumptions.

Capital spending and depreciation

USD million



Model estimates. Exact values come from the same financial calculation.

Year	Cash capex	PPE D&A
2027	260,000	53,376
2028	310,000	84,253
2029	350,000	118,622
2030	390,000	157,379

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Construction and capital payables

September construction in progress was USD 145,270 million, already included in opening assets. The selected mix is 20% servers,70% buildings and 10% land. Servers become ready over four quarters, buildings over six later quarters. These allocations are LOW estimates.

New capitalized assets equal cash capex plus the change in modeled PPE payables. Opening payables of USD 35,921 million are already represented in opening assets. A source-ratio proxy drives later payables. Land receives no depreciation.

Capital rule	Selection
Existing assets	Q3 D&A 8369;5% annual retirement proxy
Server/network life	6 years

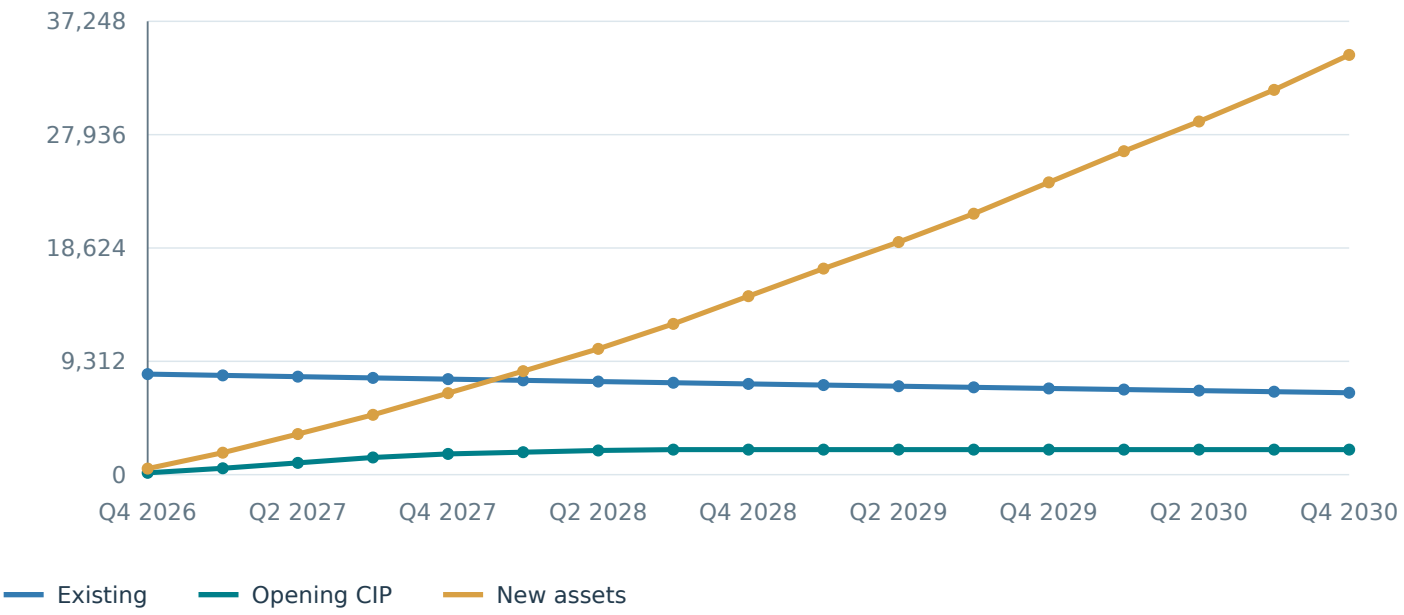
Capital rule	Selection
Building life	30 years within source 7-40-year range
First ready quarter	Half-quarter D&A
New servers	Half current, half next quarter
New buildings	Half six, half seven quarters later

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Quarterly finite depreciation

PPE depreciation by capital origin

USD million

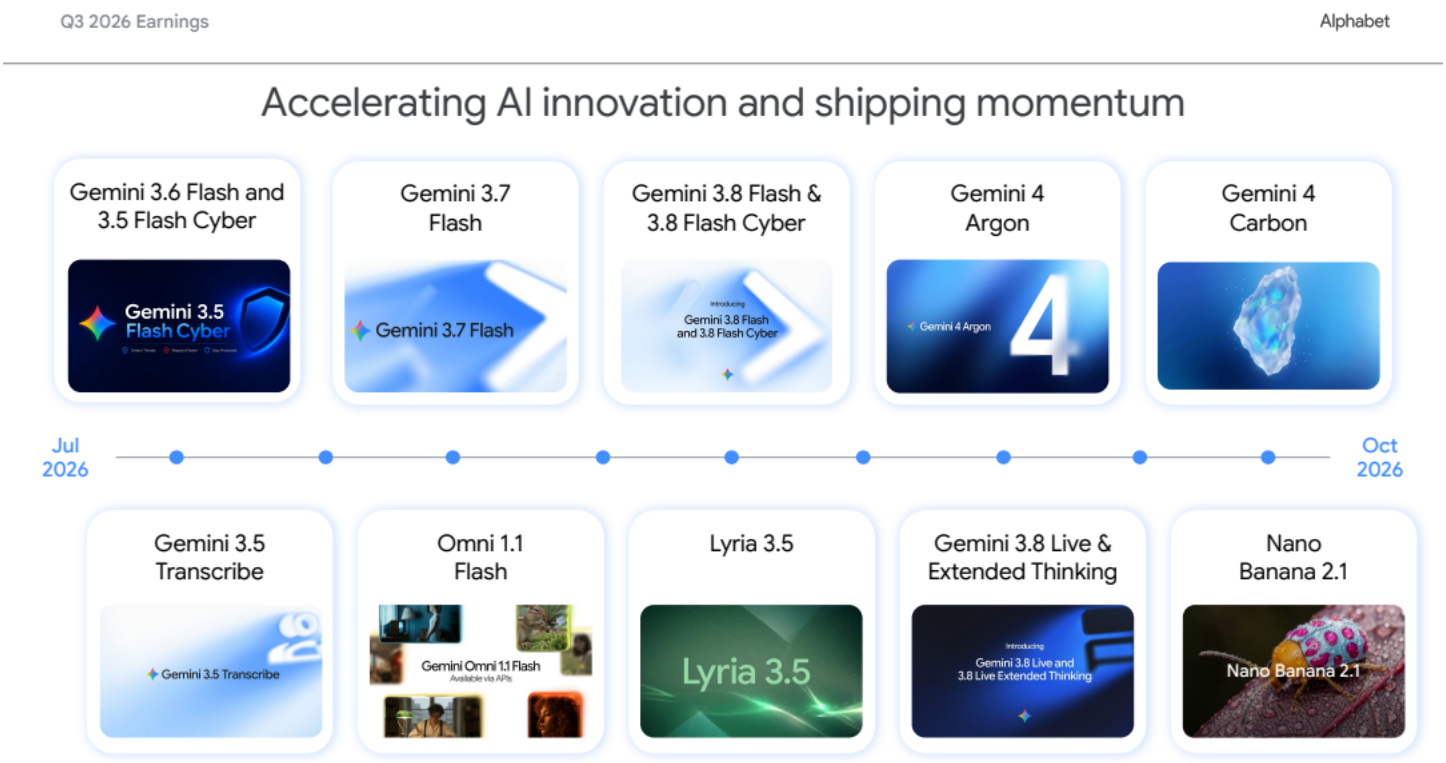


Model estimates. Exact values come from the same financial calculation.

Quarter	Existing	CIP	New	Total
Q4 2026	8,262	151	498	8,912
Q1 2027	8,157	525	1,805	10,487
Q2 2027	8,053	968	3,336	12,358
Q3 2027	7,951	1,412	4,917	14,280
Q4 2027	7,849	1,705	6,698	16,252
Q1 2028	7,749	1,846	8,505	18,100

Quarter	Existing	CIP	New	Total
Q2 2028	7,651	1,987	10,337	19,974
Q3 2028	7,553	2,058	12,388	21,999
Q4 2028	7,457	2,058	14,665	24,180
Q1 2029	7,362	2,058	16,931	26,351
Q2 2029	7,268	2,058	19,112	28,438
Q3 2029	7,175	2,058	21,441	30,675
Q4 2029	7,084	2,058	24,017	33,159
Q1 2030	6,994	2,058	26,577	35,629
Q2 2030	6,905	2,058	29,018	37,980
Q3 2030	6,817	2,058	31,618	40,492
Q4 2030	6,730	2,058	34,489	43,277

Frontier models and TPU portability



The issuer places new models in its release sequence. Source: q3 slides, page 3.

Argon has a 60% paid-realization probability on a 1% hosted-revenue cohort, with a 25% conditional premium and 50% overlap. Extra compute is 10% of eligible sales and support 5% of net added sales. TorchTPU has 65% probability on an 8% cohort,5% usage acceleration and 75% overlap, with paid serving, engineering and support.

Carbon, agentic commerce and wider TPU adoption inform these existing cohorts and the main Cloud/Search paths. They receive no separate whole-market sales addition. Temporary residuals expire after 2028 as the reference absorbs them.

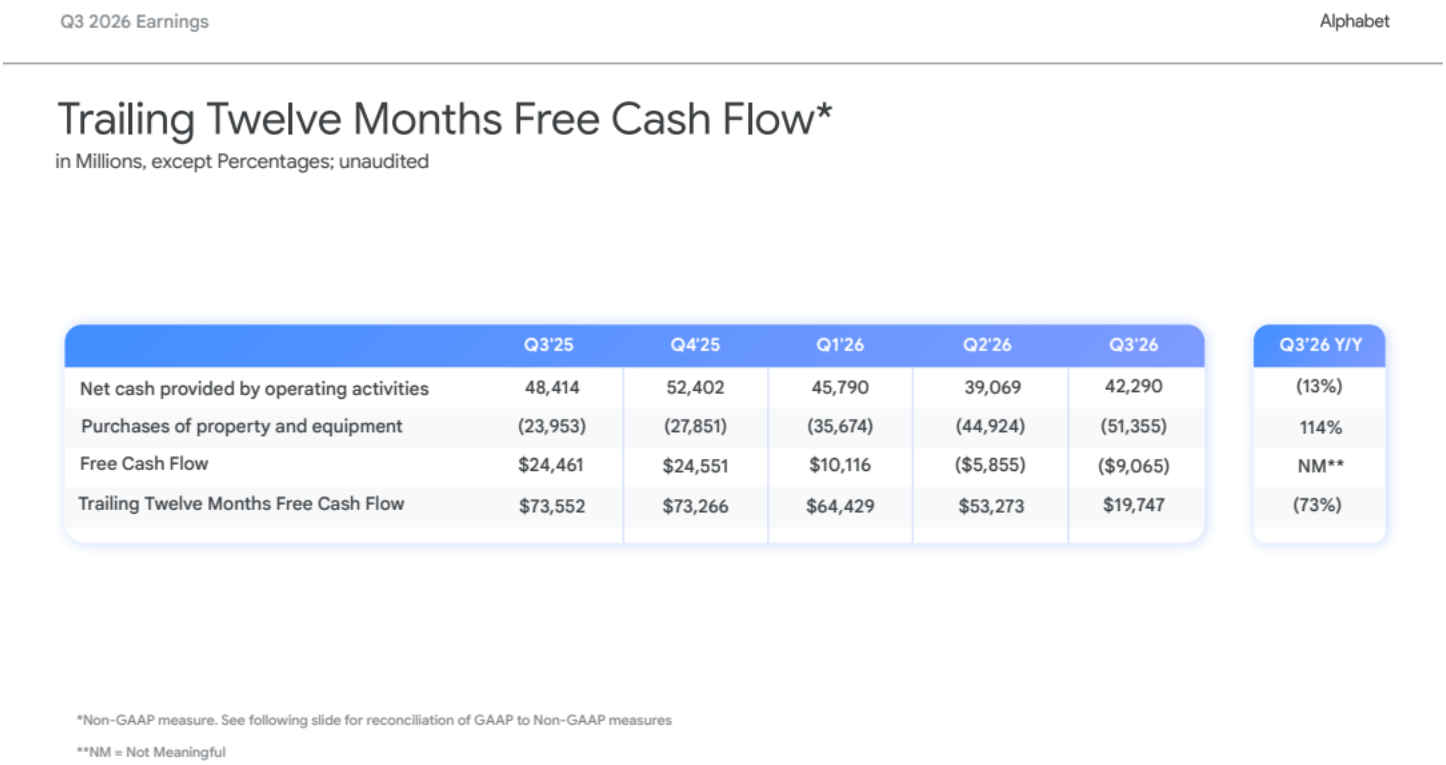
Active-window residual	Revenue	OP
Argon	136	20
TorchTPU	118	49

Regulation and cash settlements

The model assigns 65% probability to an 8% fee decline on 10% of Network revenue from Q2 2027, plus 75% weight on a USD 100 million annual incremental compliance budget. Underlying traffic costs stay tied to ordinary sales.

The September legal and regulatory accrual is paid over eight quarters in 2027-2028 as a LOW timing assumption. The earlier Android settlement is already in Q3 cash and is not repeated. Appeal outcomes and payment dates remain uncertain.

Q3 actual cash and funding



Q3 2026 Earnings

Alphabet

Trailing Twelve Months Free Cash Flow*

in Millions, except Percentages; unaudited

	Q3'25	Q4'25	Q1'26	Q2'26	Q3'26	Q3'26 Y/Y
Net cash provided by operating activities	48,414	52,402	45,790	39,069	42,290	(13%)
Purchases of property and equipment	(23,953)	(27,851)	(35,674)	(44,924)	(51,355)	114%
Free Cash Flow	$24,461	$24,551	$10,116	($5,855)	($9,065)	NM**
Trailing Twelve Months Free Cash Flow	$73,552	$73,266	$64,429	$53,273	$19,747	(73%)

*Non-GAAP measure. See following slide for reconciliation of GAAP to Non-GAAP measures

**NM = Not Meaningful

The issuer reconciles operating cash flow and free cash flow. Source: q3 slides, page 12.

Q3 actual cash line	USD M
Operating cash flow	42,290
Cash capex	-51,355
Conventional FCF	-9,065
Common issuance proceeds	12,371
Net debt proceeds	28,996
Debt repaid	-3,626
Closing cash	56,334

The cash statement includes the previously recognized Android payment, system inventory and actual financing. Opening forecast cash starts after these recorded transactions.

Starting cash and liquid securities

investments in CapEx. Free cash flow in the third quarter was also affected by the aforementioned inventory bill to support TPU system sales and payment of the EC fine.

Free cash flow was $19.7 billion for the trailing 12 months.

We ended the quarter with $265.1 billion in cash and marketable securities, which includes $90.4 billion of marketable equity securities. Long-term debt was $125.1 billion.

We have also entered into multiyear agreements to secure capacity for technical infrastructure and inventory, as well as leases and energy. At the end of the third quarter, we had future purchase commitments of $924 billion and pre-commencement leases and other obligations of $152 billion.

These dollar amounts reflect the maximum contractual obligations. However, a number of these agreements have variable pricing and volume flexibility, which could result in lower spend.

And as mentioned in our press release, our Board of Directors declared a quarterly cash dividend on our common stock of 22 cents per share, which is payable in December.

Turning to segment results, Google Services revenues increased 11% to $96.3 billion, reflecting strong growth in Search and Subscriptions.

Total advertising revenues are up 11%, with growth across all major verticals.

As we stated in our outlook for last quarter, FX was a slight headwind on year-over-year growth rates and had a more significant impact on sequential basis.

Google Search and other advertising revenues increased by 12% to $63.3 billion, with retail driving the largest contribution, followed by finance.

YouTube advertising revenues increased 9% to $11.2 billion, with Brand driving the largest contribution and notable strength in Living Room.

Network advertising revenues of $7.5 billion were up 1%.

Subscription, Platforms & Devices revenues increased 11% this quarter to $14.3 billion, driven by strong growth in YouTube subscriptions, particularly in YouTube Music and Premium and strong demand for AI plans in Google One.

Google Services operating income increased 17% to $39.2 billion, and operating margin was 40.7%.

The Google Cloud segment delivered record growth in the third quarter. Cloud

Management distinguishes cash, marketable securities and debt. Source: q3 call, page 11.

Opening balance	USD M
Cash and equivalents	56,334
Debt securities	118,380
Marketable equities excluded from routine funding	90,384
Restricted SpaceX inside equities	75,200

Debt securities remain separate from bank cash. Their maturity buckets and possible carrying-value sales supply modeled liquidity. Equity holdings receive no assumed sale, collateral advance or direct valuation uplift.

Modeled company financing

Total outstanding long-term debt is summarized below (in millions, except percentages):

	Maturity	Coupon Rate	Effective Interest Rate	As of December 31, 2025	As of September 30, 2026
Debt					
2016 US dollar notes	2026	2.00%	2.23%	$ 2,000	$ 0
2020 US dollar notes	2027 - 2060	0.80% - 2.25%	0.93% - 2.33%	9,000	9,000
2025 US dollar notes[1]	2028 - 2075	3.88% - 5.70%	4.00% - 5.79%	22,500	22,500
2025 Euro notes[2]	2028 - 2064	2.38% - 4.38%	2.57% - 4.51%	15,585	15,057
2026 US dollar notes[1]	2028 - 2066	3.70% - 6.50%	3.93% - 6.57%	0	45,000
2026 Sterling notes[2]	2029 - 2126	4.13% - 6.13%	4.23% - 6.19%	0	7,287
2026 Swiss franc notes[2]	2029 - 2051	0.43% - 1.87%	0.52% - 1.90%	0	3,671
2026 Euro notes[2]	2030 - 2063	3.20% - 4.80%	3.29% - 4.88%	0	10,228
2026 Canadian dollar notes[2]	2031 - 2056	3.65% - 5.00%	3.83% - 5.10%	0	6,001
2026 Japanese yen notes[2]	2029 - 2066	1.97% - 4.60%	2.04% - 4.64%	0	3,659
2026 Australian dollar notes[1][2]	2029 - 2046	5.20% - 6.90%	5.32% - 7.03%	0	3,861
Other long-term debt				0	1,221
Total face value of long-term debt				49,085	127,485
Unamortized discount and debt issuance costs[2]				(542)	(1,110)
Hedge accounting fair value adjustments[3]				0	(257)
Less: current portion of long-term notes[4]				(1,996)	(1,016)
Total long-term debt				$ 46,547	$ 125,102

(1) Includes floating-rate notes consisting of $1.8 billion in US dollar notes with interest calculated using the compounded Secured Overnight Financing Rate (SOFR) plus 0.44% to 0.60%, and A$2.3 billion in Australian dollar notes calculated using the Bank Bill Swap Rate (BBSW) plus 0.65% to 0.90%. Interest on these notes is reset quarterly.

(2) Principal, unamortized discount, and debt issuance costs for the foreign currency-denominated notes include the effect of foreign exchange rates.

(3) Includes fair value adjustments for fixed-rate notes in fair value hedge relationships. See Note 3 for further details.

(4) Total current portion of long-term debt is included within accrued expenses and other current liabilities. See Note 7 for further details.

The notes in the table above are senior unsecured obligations and rank equally with each other. We may redeem the fixed-rate notes, other than the Japanese yen-denominated notes, at any time in whole or in part at specified redemption prices. The floating-rate notes are not redeemable prior to maturity. Interest is payable quarterly for the floating-rate notes, semi-annually for the US dollar, Canadian dollar, Japanese yen, and Australian dollar-denominated fixed-rate notes, and annually for the euro-, sterling-, and Swiss franc-denominated fixed-rate notes. The effective interest rates are based on proceeds received and contractual interest payments.

The total estimated fair value of the outstanding notes was approximately $45.6 billion and $114.9 billion as of December 31, 2025 and September 30, 2026, respectively. The fair value was determined based on observable market prices of identical instruments in less active markets and is categorized accordingly as Level 2 in the fair value hierarchy.

In October 2026, Waymo entered into a Credit Agreement for a $5.0 billion senior secured term loan that matures in October 2032. The term loan bears interest at a rate equal to Term SOFR plus 5.25% and is secured by certain assets and subsidiaries of Waymo, subject to specified carve-outs. The obligations under the term loan are not guaranteed by Alphabet or any of its other subsidiaries.

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The debt table identifies tranches, currencies and maturity ranges. Source: q3 10 q, page 28.

After cash and existing debt securities, one combined CP/revolver pool provides at most USD 10 billion initially, USD 6 billion after April 2027 and zero after April 2030. CP and revolver limits are treated as shared capacity.

Next comes the remaining USD 27,600 million gross Alphabet ATM authority at an illustrative USD 350 issue price and 1% fees. Conditional 10-year market debt follows at 6.5% coupon and 1% fees, capped at an analyst-selected USD 180 billion gross. Future market debt is an assumption; lenders have not committed this modeled capacity.

Twelve joint cash outcomes

Note 5. Variable Interest Entities

Consolidated VIEs

We consolidate VIEs in which we hold a variable interest and are the primary beneficiary. The results of operations and financial position of these VIEs are included in our consolidated financial statements.

Unconsolidated VIEs

We hold various forms of interests in VIEs, including certain of our investments in private companies and renewable energy entities, certain leases and credit derivatives with data center entities, and financial guarantees with energy infrastructure entities. Because we have determined that we do not direct the activities that most significantly impact the economic performance of these entities, we are not the primary beneficiary. Therefore, these VIEs are not consolidated within our financial statements.

Our investments in private companies and renewable energy VIEs are primarily accounted for as non-marketable securities under the measurement alternative or the equity method. The carrying values of these investments are included within non-marketable securities on our Consolidated Balance Sheets. See Note 3 for further details on investments. The maximum exposure to these VIEs is generally limited to the current carrying value plus future funding and financial support commitments. As of December 31, 2025 and September 30, 2026, future funding and financial support commitments were $1.1 billion and $31.9 billion, respectively. As of September 30, 2026, this amount includes $20.0 billion of future capital funding commitments with a private company contingent upon the achievement of specified operational and financial milestones through 2030, which is accounted for as an equity derivative. Also, included in this amount is $10.0 billion of potential future data center and energy infrastructure backstops in support of our investment in the Crux AI joint venture. See Note 3 for further details on derivatives and equity method investments.

Leases with data center leasing VIEs are accounted for as finance leases and are included within total lease obligations disclosed in Note 4. The maximum exposure arising from leases with VIEs is limited to the net carrying value of commenced finance lease assets, plus the undiscounted future obligations for leases that have not yet commenced. See Note 4 for further details on leases.

Credit derivatives with data center VIEs carry a maximum exposure which is limited to the financial risk over the period of the arrangements, as reflected by the credit derivative notional value. See Note 3 for further details on credit derivatives.

Financial guarantees with energy infrastructure entities have maximum exposure limited to the potential amount of future payments under these arrangements. See Note 10 for further details on financial guarantees.

Note 6. Debt

Short-Term Debt

We have a commercial paper program of up to $25.0 billion, which is used for general corporate purposes. We had no commercial paper outstanding as of December 31, 2025 and September 30, 2026.

Our short-term debt balance also includes the current portion of certain long-term debt.

Long-Term Debt

During 2026, we issued $45.0 billion of US dollar-denominated senior unsecured notes and $35.8 billion of foreign currency-denominated senior unsecured notes for general corporate purposes.

In the third quarter of 2026, we issued senior unsecured notes consisting of: $23.8 billion US dollar-denominated fixed-rate notes and $1.3 billion US dollar-denominated floating-rate notes with a weighted-average coupon rate of 5.55% and a weighted-average maturity of 15 years; and A$3.3 billion Australian dollar-denominated fixed-rate notes and A$2.3 billion Australian dollar-denominated floating-rate notes with a weighted-average coupon rate of 5.82% and a weighted-average maturity of eight years.

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The filing describes milestone-dependent private capital and support obligations. Source: q3 10 q, page 27.

Outcome	Probability	Cash treatment
Operating conversion	75% planned /25% half excess	Variable sales/costs differ; committed capital remains
Private capital commitment	65% realized /35% no realization	Full 20 B orzero contingent funding plus 1.9 B other commitment
GFiber completion	80% Q4 2026 /15% Q2 2027 /5% no close	1500 M cash at completion; note/equity not immediately cash

Cash floors, taxes, security sales, borrowing and shares are evaluated inside each of 12 joint paths before weighting. Independence between private-funding and operating outcomes is an explicit modeling assumption.

Funding fees, timing and dilution

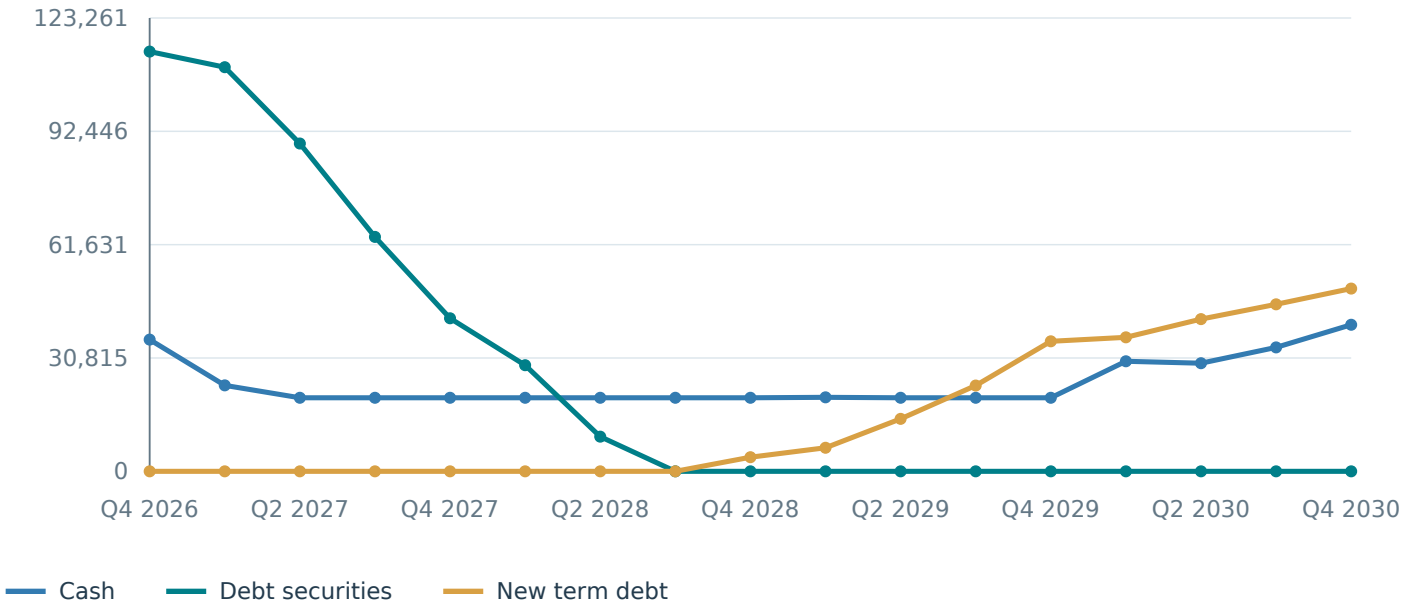
Rule	Treatment
Draw timing	Quarter end; new interest begins next quarter
ATM	Gross authority less 1% fee; shares equal gross proceeds /issue price
Term debt	1% fee amortized over 40 quarters below OP
Starting shares	Prior ATM shares enter next quarter; preferred equivalent already included
Unfunded cases	Separate positive capital requirement with no negative cash asset

Every base outcome is financed under the selected market-access assumptions. The counterfactual without new funding and lower-capacity stresses show when those assumptions become necessary.

Cash, securities and debt over time

Expected cash, debt securities and new term debt

USD million



Model estimates. Exact values come from the same financial calculation.

Quarter	Cash	Debt securities	New term debt
Q4 2026	35,813	114,131	0

Quarter	Cash	Debt securities	New term debt
Q1 2027	23,375	109,882	0
Q2 2027	20,000	89,131	0
Q3 2027	20,000	63,742	0
Q4 2027	20,000	41,614	0
Q1 2028	20,000	28,853	0
Q2 2028	20,000	9,428	0
Q3 2028	20,000	0	0
Q4 2028	20,000	0	3,840
Q1 2029	20,121	0	6,408
Q2 2029	20,000	0	14,268
Q3 2029	20,000	0	23,326
Q4 2029	20,000	0	35,352
Q1 2030	29,923	0	36,435
Q2 2030	29,396	0	41,386
Q3 2030	33,696	0	45,409
Q4 2030	39,853	0	49,690

The plot represents modeled financing. New term debt requires future market access at assumed borrowing costs.

Each outcome has its own financing needs

Operating / private / GFiber	First ATM	First term debt	Max new debt	Min cash
Planned / full / Q4 2026	Q3 2028	Q2 2029	22,806	20,000
Planned / full / Q2 2027	Q3 2028	Q2 2029	22,832	20,000
Planned / full / no_close	Q3 2028	Q2 2029	24,452	20,000
Planned / zero / Q4 2026	Q4 2028	Q4 2029	7,099	20,000
Planned / zero / Q2 2027	Q4 2028	Q4 2029	7,124	20,000
Planned / zero / no_close	Q4 2028	Q3 2029	8,740	20,000
Half excess / full / Q4 2026	Q3 2028	Q4 2028	154,183	20,000
Half excess / full / Q2 2027	Q3 2028	Q4 2028	154,211	20,000
Half excess / full / no_close	Q3 2028	Q4 2028	155,958	20,000
Half excess / zero / Q4 2026	Q3 2028	Q4 2028	132,179	20,000
Half excess / zero / Q2 2027	Q3 2028	Q4 2028	132,206	20,000
Half excess / zero / no_close	Q3 2028	Q4 2028	133,954	20,000

The largest base-case new term-debt balance is about USD 156 billion. The 180-billion limit is an analytical bound. Cash sufficiency depends on access to those markets.

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Leverage cross-check

Measure	Maximum modeled ratio
Net debt /trailing-four-quarter OP	1.03x
Net debt /trailing-four-quarter EBITDA	0.63x

Net debt subtracts cash and remaining debt securities. EBITDA adds depreciation and finite intangible amortization to OP while retaining SBC. These ratios test the forecast and establish no lender commitment or covenant headroom.

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Working capital and customer acceptance

Receivables use the Q3 receivable/revenue ratio. Inventory contains a USD 10,000 million residual floor plus one quarter of upcoming system manufacturing cost. Deferred revenue and revenue-share payables follow separate source ratios. Other operating assets and liabilities are held constant as a LOW proxy.

Inventory cash, customer acceptance and collections can offset accounting growth. The mix changes as hardware becomes a larger part of Cloud.

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Taxes, interest and investments

Note 13. Compensation Plans

Stock-Based Compensation

For the three months ended September 30, 2025 and 2026, total stock-based compensation (SBC) expense was $6.4 billion and $8.7 billion, including amounts associated with awards we expect to settle in Alphabet stock of $6.1 billion and $8.3 billion, respectively. For the nine months ended September 30, 2025 and 2026, total SBC expense was $17.9 billion and $23.9 billion, including amounts associated with awards we expect to settle in Alphabet stock of $17.2 billion and $22.4 billion, respectively.

Stock-Based Award Activities

The following table summarizes the activities for unvested Alphabet RSUs and performance stock units (PSUs), both of which include dividend equivalents awarded to holders of unvested stock, for the nine months ended September 30, 2026 (in millions, except per share amounts):

	Number of Shares	Weighted-Average Grant-Date Fair Value
Unvested as of December 31, 2025	282	$ 159.75
Granted	155	$ 300.12
Vested	(128)	$ 171.99
Forfeited/canceled	(25)	$ 198.43
Unvested as of September 30, 2026	284	$ 227.39

As of September 30, 2026, there was $61.8 billion of unrecognized compensation cost related to unvested RSUs and PSUs. This amount is expected to be recognized over a weighted-average period of 2.8 years.

Note 14. Income Taxes

The following table presents provision for income taxes (in millions, except for effective tax rate):

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2025	2026	2025	2026
Income before provision for income taxes	$ 43,987	$ 32,355	$ 119,709	$ 248,520
Provision for income taxes	$ 9,008	$ 5,887	$ 21,994	$ 47,281
Effective tax rate	20.5 %	18.2 %	18.4 %	19.0 %

We are subject to income taxes in the US and foreign jurisdictions. Significant judgment is required in evaluating our uncertain tax positions and determining our provision for income taxes. The total amount of gross unrecognized tax benefits was $11.5 billion and $12.5 billion, of which $9.7 billion and $10.6 billion, if recognized, would affect our effective tax rate, as of December 31, 2025 and September 30, 2026, respectively.

Note 15. Information about Segments and Geographic Areas

We report our segment results as Google Services, Google Cloud, and Other Bets:

- Google Services includes products and services such as ads, Android, Chrome, consumer devices, Google Maps, Google Play, Search, and YouTube. Google Services generates revenues primarily from advertising; fees received for consumer subscription-based products such as YouTube TV, YouTube Music and Premium, and NFL Sunday Ticket, as well as Google One; the sale of apps and in-app purchases; and consumer devices.
- Google Cloud includes infrastructure and platform services, applications, and other products and services for enterprise customers. Google Cloud generates services revenues primarily from consumption-based fees and subscriptions received for Google Cloud Platform services, Google Workspace communication and collaboration tools, and other enterprise services. Google Cloud generates product revenues primarily from the sale of TPU systems.
- Other Bets is a combination of multiple operating segments that are not individually material. Revenues from Other Bets are generated primarily from the sale of autonomous transportation services and internet services.

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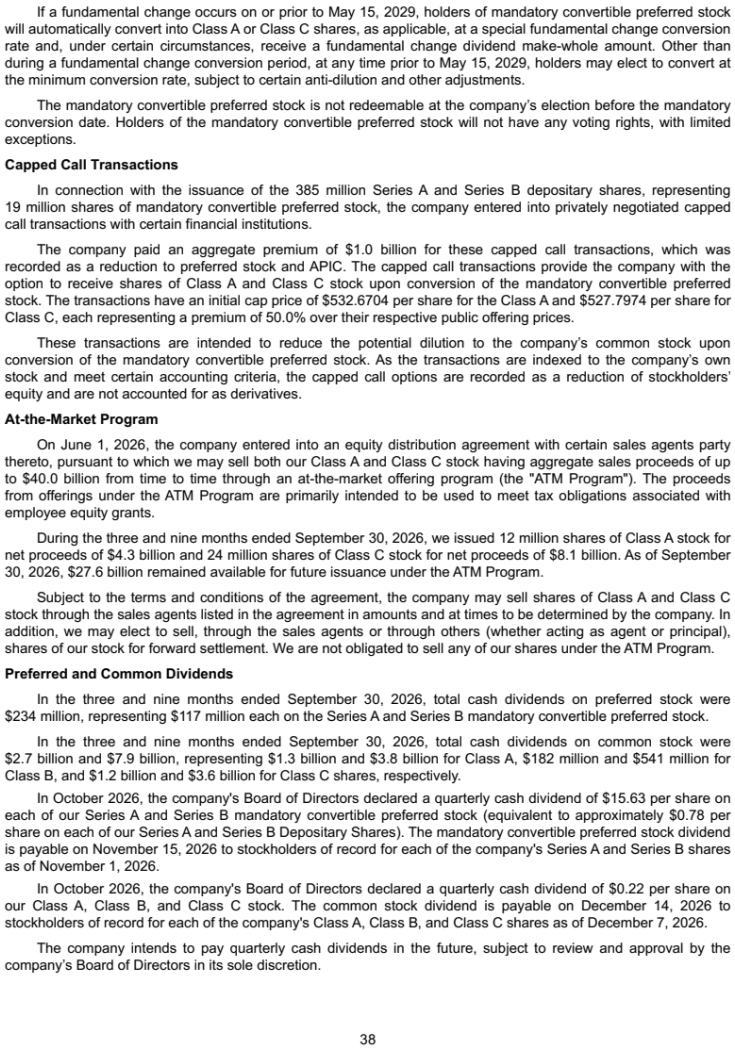
The filing reports SBC, unrecognized compensation and tax. Source: q3 10 q, page 42.

Book and cash taxes use a normalized 21% rate on positive recurring income. The reported 18.2% Q3 rate contains investment and tax-position effects. The forecast includes no discrete tax release, NOL benefit or equity-valuation gain.

Source net interest is separated from capitalized interest already inside capex. New coupons and fee amortization are below OP. Noncash fee amortization receives a single cash addback. The 20 xOP formula has no second interest, tax or net-debt subtraction.

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Stock compensation and share economics



If a fundamental change occurs on or prior to May 15, 2029, holders of mandatory convertible preferred stock will automatically convert into Class A or Class C shares, as applicable, at a special fundamental change conversion rate and, under certain circumstances, receive a fundamental change dividend make-whole amount. Other than during a fundamental change conversion period, at any time prior to May 15, 2029, holders may elect to convert at the minimum conversion rate, subject to certain anti-dilution and other adjustments.

The mandatory convertible preferred stock is not redeemable at the company's election before the mandatory conversion date. Holders of the mandatory convertible preferred stock will not have any voting rights, with limited exceptions.

Capped Call Transactions

In connection with the issuance of the 385 million Series A and Series B depositary shares, representing 19 million shares of mandatory convertible preferred stock, the company entered into privately negotiated capped call transactions with certain financial institutions.

The company paid an aggregate premium of $1.0 billion for these capped call transactions, which was recorded as a reduction to preferred stock and APIC. The capped call transactions provide the company with the option to receive shares of Class A and Class C stock upon conversion of the mandatory convertible preferred stock. The transactions have an initial cap price of $532.6704 per share for the Class A and $527.7974 per share for Class C, each representing a premium of 50.0% over their respective public offering prices.

These transactions are intended to reduce the potential dilution to the company's common stock upon conversion of the mandatory convertible preferred stock. As the transactions are indexed to the company's own stock and meet certain accounting criteria, the capped call options are recorded as a reduction of stockholders' equity and are not accounted for as derivatives.

At-the-Market Program

On June 1, 2026, the company entered into an equity distribution agreement with certain sales agents party thereto, pursuant to which we may sell both our Class A and Class C stock having aggregate sales proceeds of up to $40.0 billion from time to time through an at-the-market offering program (the "ATM Program"). The proceeds from offerings under the ATM Program are primarily intended to be used to meet tax obligations associated with employee equity grants.

During the three and nine months ended September 30, 2026, we issued 12 million shares of Class A stock for net proceeds of $4.3 billion and 24 million shares of Class C stock for net proceeds of $8.1 billion. As of September 30, 2026, $27.6 billion remained available for future issuance under the ATM Program.

Subject to the terms and conditions of the agreement, the company may sell shares of Class A and Class C stock through the sales agents listed in the agreement in amounts and at times to be determined by the company. In addition, we may elect to sell, through the sales agents or through others (whether acting as agent or principal), shares of our stock for forward settlement. We are not obligated to sell any of our shares under the ATM Program.

Preferred and Common Dividends

In the three and nine months ended September 30, 2026, total cash dividends on preferred stock were $234 million, representing $117 million each on the Series A and Series B mandatory convertible preferred stock.

In the three and nine months ended September 30, 2026, total cash dividends on common stock were $2.7 billion and $7.9 billion, representing $1.3 billion and $3.8 billion for Class A, $182 million and $541 million for Class B, and $1.2 billion and $3.6 billion for Class C shares, respectively.

In October 2026, the company's Board of Directors declared a quarterly cash dividend of $15.63 per share on each of our Series A and Series B mandatory convertible preferred stock (equivalent to approximately $0.78 per share on each of our Series A and Series B Depositary Shares). The mandatory convertible preferred stock dividend is payable on November 15, 2026 to stockholders of record for each of the company's Series A and Series B shares as of November 1, 2026.

In October 2026, the company's Board of Directors declared a quarterly cash dividend of $0.22 per share on our Class A, Class B, and Class C stock. The common stock dividend is payable on December 14, 2026 to stockholders of record for each of the company's Class A, Class B, and Class C shares as of December 7, 2026.

The company intends to pay quarterly cash dividends in the future, subject to review and approval by the company's Board of Directors in its sole discretion.

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The filing describes preferred conversion and Alphabet equity issuance. Source: q3 10 q, page 38.

The starting proxy is 12,256 million weighted-basic shares plus 112 million treasury-method awards and 54.45825 million full preferred equivalents. Q3 ATM and other issued shares are already in the source base. They receive no second addition.

SBC remains an operating expense. Its cash-flow addback and award-tax settlement cash are separate. Future modeled ATM shares affect subsequent starting-quarter denominators. Preferred conversion in May 2029 creates no second full-equivalent valuation step.

Dividends, commitments and principal

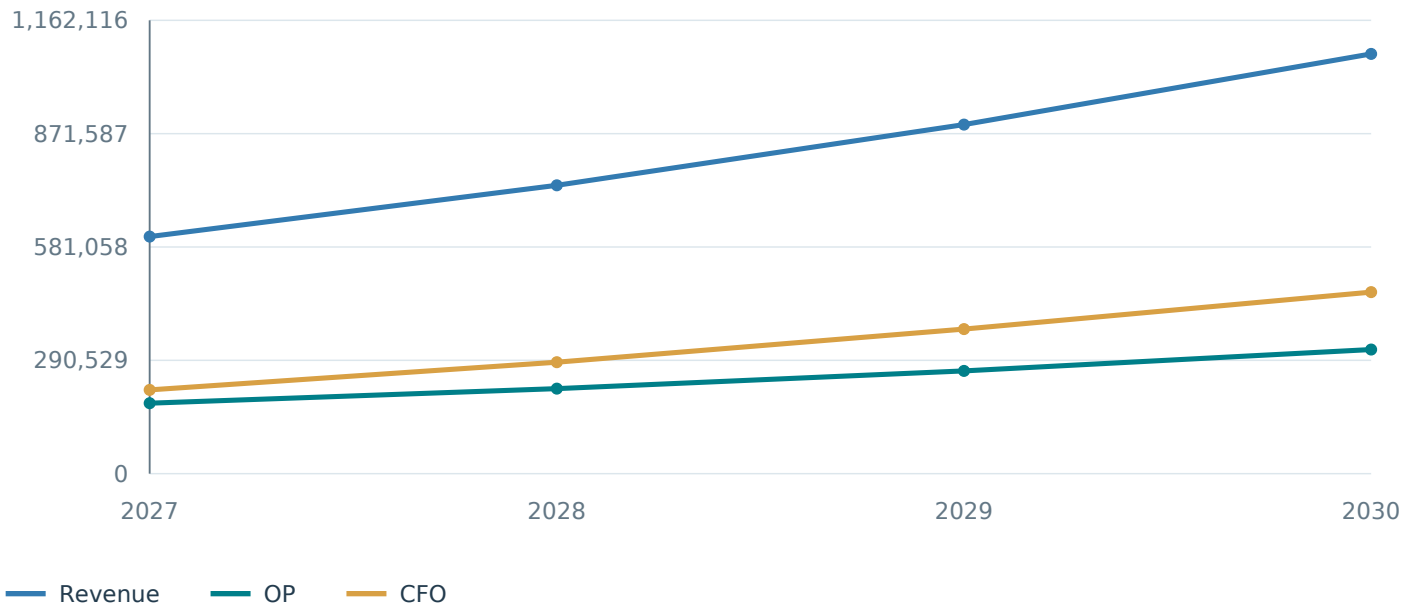
Common dividends use 22 cents per issued share under a flat forward assumption. Preferred cash dividends are about USD 301 million per quarter through conversion. Common cash dividends include the converted shares once.

The USD 1,016 million current debt amount is assigned to Q2 2027. Other principal follows LOW even-within-range maturity proxies, with earliest/latest bounds. Third-party guarantees and backstops remain contingent exposures, separate from company borrowing and equity financing.

Annual operating and cash outcomes

Annual revenue, operating profit and operating cash flow

USD million



Model estimates. Exact values come from the same financial calculation.

Year	Revenue	GP	Opex	OP	CFO	Capex
2027	607,740	342,538	161,902	180,636	214,740	260,000

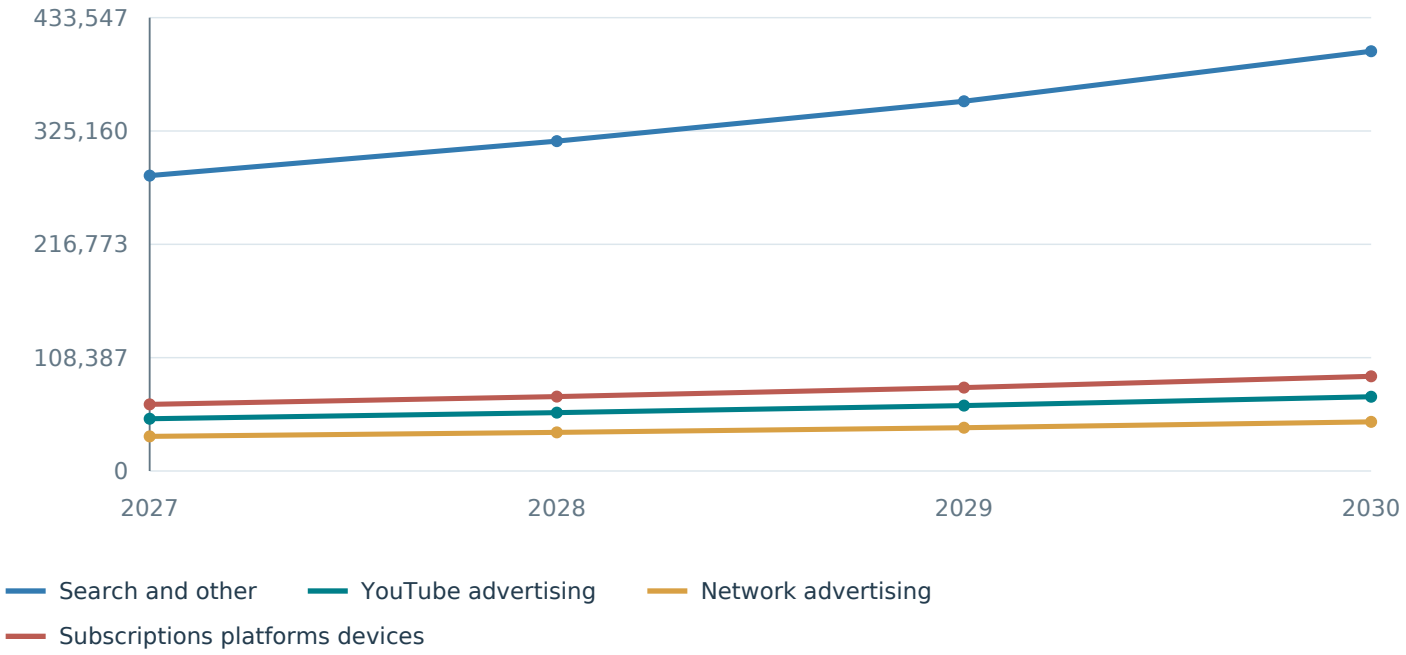
Year	Revenue	GP	Opex	OP	CFO	Capex
2028	739,192	412,498	194,525	217,972	285,720	310,000
2029	894,831	496,054	232,641	263,412	370,617	350,000
2030	1,076,033	595,168	276,982	318,186	465,374	390,000

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Services product mix

Annual Services revenue by product

USD million



Model estimates. Exact values come from the same financial calculation.

Year	Search	YouTube ads	Network	Subscriptions
2027	282,489	49,974	33,110	63,722
2028	315,457	55,806	36,930	71,158
2029	353,596	62,553	41,395	79,762
2030	401,432	71,016	46,995	90,552

Quarterly operating forecast

Quarter	Revenue	COGS	GP	Opex	OP	Margin
Q4 2026	138,596	56,839	81,758	36,578	45,180	33%
Q1 2027	136,640	57,735	78,905	37,172	41,732	31%
Q2 2027	145,887	63,431	82,457	39,234	43,222	30%
Q3 2027	155,175	69,165	86,010	41,345	44,665	29%
Q4 2027	170,038	74,872	95,166	44,150	51,016	30%
Q1 2028	166,100	74,607	91,493	44,667	46,826	28%
Q2 2028	177,145	78,864	98,281	47,091	51,191	29%
Q3 2028	189,172	83,513	105,659	49,710	55,949	30%
Q4 2028	206,775	89,711	117,064	53,057	64,007	31%
Q1 2029	201,773	91,544	110,229	53,557	56,672	28%
Q2 2029	214,667	96,433	118,234	56,363	61,872	29%
Q3 2029	228,543	101,714	126,829	59,369	67,459	30%
Q4 2029	249,848	109,087	140,761	63,352	77,409	31%
Q1 2030	244,069	110,994	133,075	63,984	69,091	28%
Q2 2030	258,820	116,558	142,262	67,207	75,055	29%
Q3 2030	274,553	122,522	152,032	70,640	81,392	30%
Q4 2030	298,591	130,791	167,800	75,152	92,648	31%

Q4 2026 is the first current model period. Q3 reported actuals and the earlier published Q3 forecast vintage remain separate.

Search and other: quarterly product economics

Quarter	Revenue	Variable cost	Fixed cost	PPE D&A	GP
Q4 2026	67,875	13,123	3,225	1,105	50,423
Q1 2027	65,289	12,623	3,264	1,300	48,102
Q2 2027	68,521	13,248	3,304	1,532	50,437
Q3 2027	71,754	13,873	3,345	1,770	52,766
Q4 2027	76,925	14,872	3,386	2,014	56,652
Q1 2028	73,046	14,123	3,428	2,244	53,253
Q2 2028	76,279	14,748	3,470	2,476	55,586
Q3 2028	80,157	15,497	3,512	2,727	58,421
Q4 2028	85,975	16,622	3,555	2,997	62,800
Q1 2029	81,450	15,747	3,599	3,266	58,837
Q2 2029	85,329	16,497	3,643	3,525	61,663
Q3 2029	89,854	17,372	3,688	3,802	64,991
Q4 2029	96,964	18,747	3,733	4,110	70,374
Q1 2030	92,439	17,872	3,779	4,416	66,372
Q2 2030	96,964	18,747	3,825	4,708	69,684
Q3 2030	102,136	19,747	3,872	5,019	73,498
Q4 2030	109,893	21,246	3,920	5,364	79,362

LOW analytical product allocations. The gross-profit row precedes the segment and shared operating expenses shown separately.

YouTube advertising: quarterly product economics

Quarter	Revenue	Variable cost	Fixed cost	PPE D&A	GP
Q4 2026	12,007	5,804	1,426	489	4,289
Q1 2027	11,550	5,583	1,444	575	3,949
Q2 2027	12,122	5,859	1,461	677	4,124
Q3 2027	12,694	6,135	1,479	783	4,296
Q4 2027	13,608	6,578	1,498	891	4,642
Q1 2028	12,922	6,246	1,516	992	4,168
Q2 2028	13,494	6,522	1,535	1,095	4,342
Q3 2028	14,180	6,854	1,553	1,206	4,567
Q4 2028	15,210	7,351	1,572	1,326	4,960
Q1 2029	14,409	6,965	1,592	1,445	4,408
Q2 2029	15,095	7,296	1,611	1,559	4,629
Q3 2029	15,896	7,683	1,631	1,682	4,900
Q4 2029	17,154	8,291	1,651	1,818	5,394
Q1 2030	16,353	7,904	1,671	1,953	4,824
Q2 2030	17,154	8,291	1,692	2,082	5,089
Q3 2030	18,068	8,733	1,713	2,220	5,403
Q4 2030	19,441	9,397	1,734	2,372	5,938

LOW analytical product allocations. The gross-profit row precedes the segment and shared operating expenses shown separately.

Network advertising: quarterly product economics

Quarter	Revenue	Variable cost	Fixed cost	PPE D&A	GP
Q4 2026	7,988	4,455	1,095	375	2,063
Q1 2027	7,683	4,285	1,108	441	1,849
Q2 2027	8,022	4,497	1,122	520	1,883
Q3 2027	8,400	4,709	1,135	601	1,954
Q4 2027	9,005	5,049	1,149	684	2,124
Q1 2028	8,551	4,794	1,164	762	1,832
Q2 2028	8,930	5,006	1,178	840	1,905
Q3 2028	9,384	5,261	1,192	926	2,005
Q4 2028	10,065	5,643	1,207	1,017	2,198
Q1 2029	9,535	5,346	1,222	1,109	1,859
Q2 2029	9,989	5,600	1,237	1,197	1,956
Q3 2029	10,519	5,897	1,252	1,291	2,079
Q4 2029	11,351	6,364	1,267	1,395	2,325
Q1 2030	10,822	6,067	1,283	1,499	1,973
Q2 2030	11,351	6,364	1,299	1,598	2,091
Q3 2030	11,957	6,703	1,314	1,704	2,235
Q4 2030	12,865	7,212	1,331	1,821	2,501

LOW analytical product allocations. The gross-profit row precedes the segment and shared operating expenses shown separately.

Subscriptions platforms devices: quarterly product economics

Quarter	Revenue	Variable cost	Fixed cost	PPE D&A	GP
Q4 2026	15,311	6,262	1,539	527	6,983
Q1 2027	14,727	6,023	1,558	620	6,526
Q2 2027	15,457	6,321	1,577	731	6,827
Q3 2027	16,186	6,620	1,596	845	7,125
Q4 2027	17,352	7,097	1,616	961	7,678
Q1 2028	16,477	6,739	1,636	1,071	7,032
Q2 2028	17,206	7,037	1,656	1,181	7,332
Q3 2028	18,081	7,395	1,676	1,301	7,709
Q4 2028	19,394	7,932	1,697	1,430	8,335
Q1 2029	18,373	7,514	1,717	1,559	7,583
Q2 2029	19,248	7,872	1,738	1,682	7,955
Q3 2029	20,268	8,289	1,760	1,814	8,405
Q4 2029	21,872	8,945	1,781	1,961	9,184
Q1 2030	20,852	8,528	1,803	2,107	8,413
Q2 2030	21,872	8,945	1,825	2,246	8,855
Q3 2030	23,039	9,423	1,848	2,395	9,374
Q4 2030	24,789	10,138	1,870	2,560	10,220

LOW analytical product allocations. The gross-profit row precedes the segment and shared operating expenses shown separately.

Hosted Cloud and software: quarterly product economics

Quarter	Revenue	Variable cost	Fixed cost	PPE D&A	GP
Q4 2026	31,416	7,029	3,541	3,921	16,925
Q1 2027	33,390	7,480	3,892	4,614	17,404
Q2 2027	34,266	7,676	3,917	5,437	17,235
Q3 2027	35,142	7,873	3,943	6,283	17,044
Q4 2027	38,647	8,658	2,469	7,151	20,370
Q1 2028	41,478	9,292	2,495	7,964	21,727
Q2 2028	47,611	10,666	2,522	8,789	25,635
Q3 2028	53,745	12,040	2,549	9,680	29,476
Q4 2028	62,507	14,003	2,576	10,639	35,289
Q1 2029	61,100	13,661	2,604	11,595	33,240
Q2 2029	68,100	15,226	2,632	12,513	37,729
Q3 2029	75,100	16,792	2,660	13,497	42,152
Q4 2029	85,600	19,139	2,689	14,590	49,182
Q1 2030	83,416	18,651	2,718	15,677	46,371
Q2 2030	91,291	20,412	2,747	16,711	51,421
Q3 2030	99,166	22,172	2,777	17,817	56,400
Q4 2030	111,416	24,911	2,807	19,042	64,656

LOW analytical product allocations. The gross-profit row precedes the segment and shared operating expenses shown separately.

Customer-owned TPU systems: quarterly product economics

Quarter	Revenue	Variable cost	Fixed cost	PPE D&A	GP
Q4 2026	3,500	2,625	0	0	875
Q1 2027	3,500	2,625	0	0	875
Q2 2027	7,000	5,250	0	0	1,750
Q3 2027	10,500	7,875	0	0	2,625
Q4 2027	14,000	10,500	0	0	3,500
Q1 2028	13,125	9,844	0	0	3,281
Q2 2028	13,125	9,844	0	0	3,281
Q3 2028	13,125	9,844	0	0	3,281
Q4 2028	13,125	9,844	0	0	3,281
Q1 2029	16,406	12,305	0	0	4,102
Q2 2029	16,406	12,305	0	0	4,102
Q3 2029	16,406	12,305	0	0	4,102
Q4 2029	16,406	12,305	0	0	4,102
Q1 2030	19,688	14,766	0	0	4,922
Q2 2030	19,688	14,766	0	0	4,922
Q3 2030	19,688	14,766	0	0	4,922
Q4 2030	19,688	14,766	0	0	4,922

LOW analytical product allocations. The gross-profit row precedes the segment and shared operating expenses shown separately.

Other Bets: quarterly product economics

Quarter	Revenue	Variable cost	Fixed cost	PPE D&A	GP
Q4 2026	500	300	0	0	200
Q1 2027	500	300	0	0	200
Q2 2027	500	300	0	0	200
Q3 2027	500	300	0	0	200
Q4 2027	500	300	0	0	200
Q1 2028	500	300	0	0	200
Q2 2028	500	300	0	0	200
Q3 2028	500	300	0	0	200
Q4 2028	500	300	0	0	200
Q1 2029	500	300	0	0	200
Q2 2029	500	300	0	0	200
Q3 2029	500	300	0	0	200
Q4 2029	500	300	0	0	200
Q1 2030	500	300	0	0	200
Q2 2030	500	300	0	0	200
Q3 2030	500	300	0	0	200
Q4 2030	500	300	0	0	200

LOW analytical product allocations. The gross-profit row precedes the segment and shared operating expenses shown separately.

Quarterly operating expenses

Quarter	Services	Hosted Cloud	System support	Other Bets	Shared
Q4 2026	19,951	5,846	280	2,274	8,227
Q1 2027	19,565	6,250	280	2,355	8,723
Q2 2027	20,432	6,539	560	2,438	9,264
Q3 2027	21,285	6,867	840	2,525	9,828
Q4 2027	22,532	7,470	1,120	2,615	10,413
Q1 2028	21,915	7,991	1,050	2,708	11,004
Q2 2028	22,767	8,853	1,050	2,804	11,616
Q3 2028	23,761	9,732	1,050	2,904	12,264
Q4 2028	25,155	10,897	1,050	3,007	12,947
Q1 2029	24,463	11,016	1,312	3,114	13,652
Q2 2029	25,464	11,991	1,312	3,225	14,370
Q3 2029	26,606	12,984	1,312	3,340	15,127
Q4 2029	28,284	14,363	1,312	3,458	15,934
Q1 2030	27,618	14,444	1,575	3,581	16,766
Q2 2030	28,771	15,540	1,575	3,709	17,613
Q3 2030	30,065	16,656	1,575	3,840	18,504
Q4 2030	31,899	18,249	1,575	3,977	19,452

Ordinary payroll, R&D, support, explicit leases, owned depreciation and finite amortization remain paid.

Quarterly cash generation

Quarter	OP	PPE D&A	SBC	Cash tax	WC use	CFO
Q4 2026	45,180	8,912	9,374	9,679	3,523	51,660
Q1 2027	41,732	10,487	9,240	8,885	1,354	50,436
Q2 2027	43,222	12,358	9,868	9,172	5,999	49,381
Q3 2027	44,665	14,280	10,497	9,436	6,016	52,918
Q4 2027	51,016	16,252	11,502	10,725	4,771	62,005
Q1 2028	46,826	18,100	11,235	9,791	-2,171	67,111
Q2 2028	51,191	19,974	11,982	10,693	3,854	67,112
Q3 2028	55,949	21,999	12,795	11,663	4,302	73,165
Q4 2028	64,007	24,180	13,985	13,332	8,799	78,331
Q1 2029	56,672	26,351	13,652	11,760	-2,640	87,516
Q2 2029	61,872	28,438	14,525	12,856	4,530	87,443
Q3 2029	67,459	30,675	15,464	14,016	4,978	94,549
Q4 2029	77,409	33,159	16,905	16,087	10,152	101,109
Q1 2030	69,091	35,629	16,514	14,280	-2,845	109,529
Q2 2030	75,055	37,980	17,512	15,564	5,209	109,671
Q3 2030	81,392	40,492	18,577	16,911	5,656	117,880
Q4 2030	92,648	43,277	20,203	19,284	8,600	128,294

Nonlinear tax and funding calculations occur within each joint outcome before weighting.

Quarterly investment and funding

Quarter	Capex	Award cash	Private capital	ATM net	Debt net	End cash
Q4 2026	68,047	5,831	0	0	0	35,813
Q1 2027	57,200	5,747	931	0	0	23,375
Q2 2027	62,400	6,138	931	0	0	20,000
Q3 2027	67,600	6,529	931	0	0	20,000
Q4 2027	72,800	7,154	931	0	0	20,000
Q1 2028	68,200	6,988	931	0	0	20,000
Q2 2028	74,400	7,453	931	0	0	20,000
Q3 2028	80,600	7,959	931	5,861	0	20,000
Q4 2028	86,800	8,699	931	16,846	3,801	20,000
Q1 2029	77,000	8,492	931	387	2,542	20,121
Q2 2029	84,000	9,035	931	2,533	7,782	20,000
Q3 2029	91,000	9,619	931	1,649	8,967	20,000
Q4 2029	98,000	10,515	931	48	11,906	20,000
Q1 2030	85,800	10,272	931	0	1,072	29,923
Q2 2030	93,600	10,893	931	0	4,901	29,396
Q3 2030	101,400	11,555	931	0	3,982	33,696
Q4 2030	109,200	12,566	931	0	4,238	39,853

New debt and equity receipts are financing flows. Conventional FCF is operating cash flow less cash PP&E capex.

Explicit lease expense and cash reconciliation

Quarter	Lease expense	Lease cash	Cash adjustment	Bridge rent	Residual cost
Q4 2026	1,010	901	-109	1,500	0
Q1 2027	1,023	987	-36	1,500	326
Q2 2027	1,035	987	-48	1,500	326
Q3 2027	1,048	987	-61	1,500	326
Q4 2027	1,061	987	-74	0	326
Q1 2028	1,074	863	-211	0	326
Q2 2028	1,087	863	-224	0	326
Q3 2028	1,100	863	-238	0	326
Q4 2028	1,114	863	-251	0	326
Q1 2029	1,127	770	-357	0	326
Q2 2029	1,141	770	-371	0	326
Q3 2029	1,155	770	-385	0	326
Q4 2029	1,169	770	-399	0	326
Q1 2030	1,184	636	-548	0	326
Q2 2030	1,198	636	-563	0	326
Q3 2030	1,213	636	-577	0	326
Q4 2030	1,228	636	-592	0	326

The operating-lease cash adjustment replaces the exact expense included in the model. Bridge rent and residual future costs remain separate.

Capital additions and asset book

Quarter	Cash capex	PPE payable	New assets	D&A	Ending PPE
Q4 2026	68,047	47,596	79,722	8,912	443,638
Q1 2027	57,200	40,009	49,613	10,487	482,764
Q2 2027	62,400	43,647	66,037	12,358	536,443
Q3 2027	67,600	47,284	71,237	14,280	593,401
Q4 2027	72,800	50,921	76,437	16,252	653,586
Q1 2028	68,200	47,703	64,982	18,100	700,469
Q2 2028	74,400	52,040	78,737	19,974	759,231
Q3 2028	80,600	56,377	84,937	21,999	822,168
Q4 2028	86,800	60,714	91,137	24,180	889,125
Q1 2029	77,000	53,859	70,145	26,351	932,919
Q2 2029	84,000	58,755	88,896	28,438	993,378
Q3 2029	91,000	63,651	95,896	30,675	1,058,600
Q4 2029	98,000	68,548	102,896	33,159	1,128,337
Q1 2030	85,800	60,014	77,267	35,629	1,169,974
Q2 2030	93,600	65,470	99,056	37,980	1,231,050
Q3 2030	101,400	70,926	106,856	40,492	1,297,414
Q4 2030	109,200	76,382	114,656	43,277	1,368,792

The payable roll-forward prevents cash settlement of previously capitalized assets from creating a second asset cohort. Ending PPE is a model proxy; exact acquisition and disposal timing remains uncertain.

Depreciation cohorts 1-13

Origin	Asset	Capital	First ready	Life years	Active-quarter D&A
September 30 CIP	servers	7,264	Q4 2026	6	303
September 30 CIP	servers	7,264	Q1 2027	6	303
September 30 CIP	servers	7,264	Q2 2027	6	303
September 30 CIP	servers	7,264	Q3 2027	6	303
September 30 CIP	buildings	16,948	Q1 2027	30	141
September 30 CIP	buildings	16,948	Q2 2027	30	141
September 30 CIP	buildings	16,948	Q3 2027	30	141
September 30 CIP	buildings	16,948	Q4 2027	30	71
September 30 CIP	buildings	16,948	Q1 2028	30	0
September 30 CIP	buildings	16,948	Q2 2028	30	0
New capitalized asset additions	servers	23,917	Q4 2026	6	997
New capitalized asset additions	servers	23,917	Q1 2027	6	997
New capitalized asset additions	buildings	11,958	Q2 2028	30	0

Full capital is paid according to the cash/asset schedule. A half-quarter charge begins when the asset is ready. Land is excluded from these depreciable cohorts.

Depreciation cohorts 14-26

Origin	Asset	Capital	First ready	Life years	Active-quarter D&A
New capitalized asset additions	buildings	11,958	Q3 2028	30	0
New capitalized asset additions	servers	14,884	Q1 2027	6	620
New capitalized asset additions	servers	14,884	Q2 2027	6	620
New capitalized asset additions	buildings	7,442	Q3 2028	30	0
New capitalized asset additions	buildings	7,442	Q4 2028	30	0
New capitalized asset additions	servers	19,811	Q2 2027	6	825
New capitalized asset additions	servers	19,811	Q3 2027	6	825
New capitalized asset additions	buildings	9,906	Q4 2028	30	0
New capitalized asset additions	buildings	9,906	Q1 2029	30	0
New capitalized asset additions	servers	21,371	Q3 2027	6	890
New capitalized asset additions	servers	21,371	Q4 2027	6	445
New capitalized asset additions	buildings	10,686	Q1 2029	30	0
New capitalized asset additions	buildings	10,686	Q2 2029	30	0

Full capital is paid according to the cash/asset schedule. A half-quarter charge begins when the asset is ready. Land is excluded from these depreciable cohorts.

Depreciation cohorts 27-39

Origin	Asset	Capital	First ready	Life years	Active-quarter D&A
New capitalized asset additions	servers	22,931	Q4 2027	6	478
New capitalized asset additions	servers	22,931	Q1 2028	6	0
New capitalized asset additions	buildings	11,466	Q2 2029	30	0
New capitalized asset additions	buildings	11,466	Q3 2029	30	0
New capitalized asset additions	servers	19,495	Q1 2028	6	0
New capitalized asset additions	servers	19,495	Q2 2028	6	0
New capitalized asset additions	buildings	9,747	Q3 2029	30	0
New capitalized asset additions	buildings	9,747	Q4 2029	30	0
New capitalized asset additions	servers	23,621	Q2 2028	6	0
New capitalized asset additions	servers	23,621	Q3 2028	6	0
New capitalized asset additions	buildings	11,811	Q4 2029	30	0
New capitalized asset additions	buildings	11,811	Q1 2030	30	0
New capitalized asset additions	servers	25,481	Q3 2028	6	0

Full capital is paid according to the cash/asset schedule. A half-quarter charge begins when the asset is ready. Land is excluded from these depreciable cohorts.

Depreciation cohorts 40-52

Origin	Asset	Capital	First ready	Life years	Active-quarter D&A
New capitalized asset additions	servers	25,481	Q4 2028	6	0
New capitalized asset additions	buildings	12,741	Q1 2030	30	0
New capitalized asset additions	buildings	12,741	Q2 2030	30	0
New capitalized asset additions	servers	27,341	Q4 2028	6	0
New capitalized asset additions	servers	27,341	Q1 2029	6	0
New capitalized asset additions	buildings	13,671	Q2 2030	30	0
New capitalized asset additions	buildings	13,671	Q3 2030	30	0
New capitalized asset additions	servers	21,044	Q1 2029	6	0
New capitalized asset additions	servers	21,044	Q2 2029	6	0
New capitalized asset additions	buildings	10,522	Q3 2030	30	0
New capitalized asset additions	buildings	10,522	Q4 2030	30	0
New capitalized asset additions	servers	26,669	Q2 2029	6	0
New capitalized asset additions	servers	26,669	Q3 2029	6	0

Full capital is paid according to the cash/asset schedule. A half-quarter charge begins when the asset is ready. Land is excluded from these depreciable cohorts.

Depreciation cohorts 53-65

Origin	Asset	Capital	First ready	Life years	Active-quarter D&A
New capitalized asset additions	buildings	13,334	Q4 2030	30	0
New capitalized asset additions	buildings	13,334	beyond horizon	30	0
New capitalized asset additions	servers	28,769	Q3 2029	6	0
New capitalized asset additions	servers	28,769	Q4 2029	6	0
New capitalized asset additions	buildings	14,384	beyond horizon	30	0
New capitalized asset additions	buildings	14,384	beyond horizon	30	0
New capitalized asset additions	servers	30,869	Q4 2029	6	0
New capitalized asset additions	servers	30,869	Q1 2030	6	0
New capitalized asset additions	buildings	15,434	beyond horizon	30	0
New capitalized asset additions	buildings	15,434	beyond horizon	30	0
New capitalized asset additions	servers	23,180	Q1 2030	6	0
New capitalized asset additions	servers	23,180	Q2 2030	6	0
New capitalized asset additions	buildings	11,590	beyond horizon	30	0

Full capital is paid according to the cash/asset schedule. A half-quarter charge begins when the asset is ready. Land is excluded from these depreciable cohorts.

Depreciation cohorts 66-78

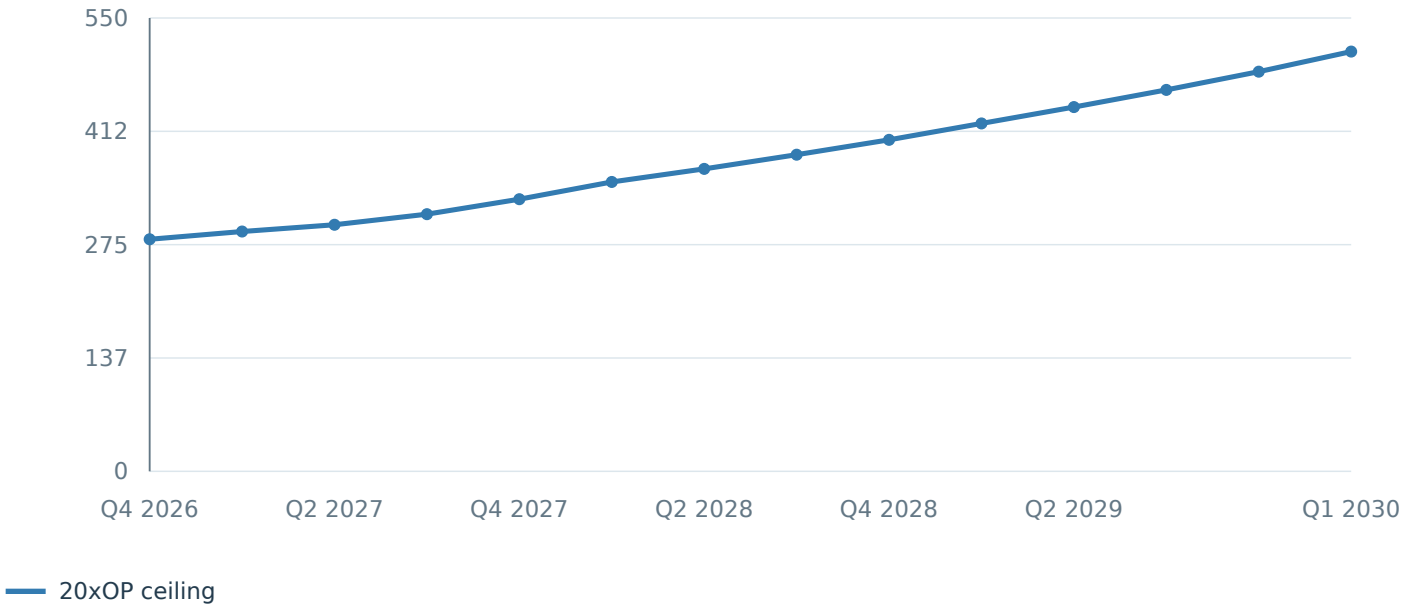
Origin	Asset	Capital	First ready	Life years	Active-quarter D&A
New capitalized asset additions	buildings	11,590	beyond horizon	30	0
New capitalized asset additions	servers	29,717	Q2 2030	6	0
New capitalized asset additions	servers	29,717	Q3 2030	6	0
New capitalized asset additions	buildings	14,858	beyond horizon	30	0
New capitalized asset additions	buildings	14,858	beyond horizon	30	0
New capitalized asset additions	servers	32,057	Q3 2030	6	0
New capitalized asset additions	servers	32,057	Q4 2030	6	0
New capitalized asset additions	buildings	16,028	beyond horizon	30	0
New capitalized asset additions	buildings	16,028	beyond horizon	30	0
New capitalized asset additions	servers	34,397	Q4 2030	6	0
New capitalized asset additions	servers	34,397	beyond horizon	6	0
New capitalized asset additions	buildings	17,198	beyond horizon	30	0
New capitalized asset additions	buildings	17,198	beyond horizon	30	0

Full capital is paid according to the cash/asset schedule. A half-quarter charge begins when the asset is ready. Land is excluded from these depreciable cohorts.

Current and future ceiling path

Rolling operating-profit ceilings

USD per economic share



Model estimates. Exact values come from the same financial calculation.

Valuation quarter	F4 OP	Starting shares M	Ceiling
Q4 2026	174,800	12,422	281
Q1 2027	180,636	12,422	291
Q2 2027	185,729	12,422	299
Q3 2027	193,697	12,422	312
Q4 2027	204,982	12,422	330
Q1 2028	217,972	12,422	351
Q2 2028	227,819	12,422	367
Q3 2028	238,500	12,422	384
Q4 2028	250,010	12,439	402
Q1 2029	263,412	12,488	422
Q2 2029	275,831	12,489	442
Q3 2029	289,014	12,496	463
Q4 2029	302,946	12,501	485

Valuation quarter	F4 OP	Starting shares M	Ceiling
Q1 2030	318,186	12,501	509

Every ceiling uses its own quarter and the next three. Per-share branch results are weighted after their financing and share paths. The final three operating quarters have incomplete future windows and no completed ceiling.

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Valuation derivation: Q4 2026

Earnings quarter	Revenue	GP	Opex	OP
Q4 2026	138,596	81,758	36,578	45,180
Q1 2027	136,640	78,905	37,172	41,732
Q2 2027	145,887	82,457	39,234	43,222
Q3 2027	155,175	86,010	41,345	44,665

F4 OP	Multiple	Expected shares M	USD / share
174,800	20	12,422	281

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

GOOGL / ALPHABET / 4 NOVEMBER 2026

Valuation derivation: Q1 2027

Earnings quarter	Revenue	GP	Opex	OP
Q1 2027	136,640	78,905	37,172	41,732
Q2 2027	145,887	82,457	39,234	43,222
Q3 2027	155,175	86,010	41,345	44,665
Q4 2027	170,038	95,166	44,150	51,016

F4 OP	Multiple	Expected shares M	USD / share
180,636	20	12,422	291

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

Valuation derivation: Q2 2027

Earnings quarter	Revenue	GP	Opex	OP
Q2 2027	145,887	82,457	39,234	43,222
Q3 2027	155,175	86,010	41,345	44,665
Q4 2027	170,038	95,166	44,150	51,016
Q1 2028	166,100	91,493	44,667	46,826

F4 OP	Multiple	Expected shares M	USD / share
185,729	20	12,422	299

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

GOOGL / ALPHABET / 4 NOVEMBER 2026

Valuation derivation: Q3 2027

Earnings quarter	Revenue	GP	Opex	OP
Q3 2027	155,175	86,010	41,345	44,665
Q4 2027	170,038	95,166	44,150	51,016
Q1 2028	166,100	91,493	44,667	46,826
Q2 2028	177,145	98,281	47,091	51,191

F4 OP	Multiple	Expected shares M	USD / share
193,697	20	12,422	312

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

Selected valuation: Q4 2027

Earnings quarter	Revenue	GP	Opex	OP
Q4 2027	170,038	95,166	44,150	51,016
Q1 2028	166,100	91,493	44,667	46,826
Q2 2028	177,145	98,281	47,091	51,191
Q3 2028	189,172	105,659	49,710	55,949

F4 OP	Multiple	Expected shares M	USD / share
204,982	20	12,422	330

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

GOOGL / ALPHABET / 4 NOVEMBER 2026

Valuation derivation: Q1 2028

Earnings quarter	Revenue	GP	Opex	OP
Q1 2028	166,100	91,493	44,667	46,826
Q2 2028	177,145	98,281	47,091	51,191
Q3 2028	189,172	105,659	49,710	55,949
Q4 2028	206,775	117,064	53,057	64,007

F4 OP	Multiple	Expected shares M	USD / share
217,972	20	12,422	351

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

Valuation derivation: Q2 2028

Earnings quarter	Revenue	GP	Opex	OP
Q2 2028	177,145	98,281	47,091	51,191
Q3 2028	189,172	105,659	49,710	55,949
Q4 2028	206,775	117,064	53,057	64,007
Q1 2029	201,773	110,229	53,557	56,672

F4 OP	Multiple	Expected shares M	USD / share
227,819	20	12,422	367

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

GOOGL / ALPHABET / 4 NOVEMBER 2026

Valuation derivation: Q3 2028

Earnings quarter	Revenue	GP	Opex	OP
Q3 2028	189,172	105,659	49,710	55,949
Q4 2028	206,775	117,064	53,057	64,007
Q1 2029	201,773	110,229	53,557	56,672
Q2 2029	214,667	118,234	56,363	61,872

F4 OP	Multiple	Expected shares M	USD / share
238,500	20	12,422	384

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

Valuation derivation: Q4 2028

Earnings quarter	Revenue	GP	Opex	OP
Q4 2028	206,775	117,064	53,057	64,007
Q1 2029	201,773	110,229	53,557	56,672
Q2 2029	214,667	118,234	56,363	61,872
Q3 2029	228,543	126,829	59,369	67,459

F4 OP	Multiple	Expected shares M	USD / share
250,010	20	12,439	402

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

GOOGL / ALPHABET / 4 NOVEMBER 2026

Valuation derivation: Q1 2029

Earnings quarter	Revenue	GP	Opex	OP
Q1 2029	201,773	110,229	53,557	56,672
Q2 2029	214,667	118,234	56,363	61,872
Q3 2029	228,543	126,829	59,369	67,459
Q4 2029	249,848	140,761	63,352	77,409

F4 OP	Multiple	Expected shares M	USD / share
263,412	20	12,488	422

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

Valuation derivation: Q2 2029

Earnings quarter	Revenue	GP	Opex	OP
Q2 2029	214,667	118,234	56,363	61,872
Q3 2029	228,543	126,829	59,369	67,459
Q4 2029	249,848	140,761	63,352	77,409
Q1 2030	244,069	133,075	63,984	69,091

F4 OP	Multiple	Expected shares M	USD / share
275,831	20	12,489	442

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

GOOGL / ALPHABET / 4 NOVEMBER 2026

Valuation derivation: Q3 2029

Earnings quarter	Revenue	GP	Opex	OP
Q3 2029	228,543	126,829	59,369	67,459
Q4 2029	249,848	140,761	63,352	77,409
Q1 2030	244,069	133,075	63,984	69,091
Q2 2030	258,820	142,262	67,207	75,055

F4 OP	Multiple	Expected shares M	USD / share
289,014	20	12,496	463

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

Valuation derivation: Q4 2029

Earnings quarter	Revenue	GP	Opex	OP
Q4 2029	249,848	140,761	63,352	77,409
Q1 2030	244,069	133,075	63,984	69,091
Q2 2030	258,820	142,262	67,207	75,055
Q3 2030	274,553	152,032	70,640	81,392

F4 OP	Multiple	Expected shares M	USD / share
302,946	20	12,501	485

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

GOOGL / ALPHABET / 4 NOVEMBER 2026

Valuation derivation: Q1 2030

Earnings quarter	Revenue	GP	Opex	OP
Q1 2030	244,069	133,075	63,984	69,091
Q2 2030	258,820	142,262	67,207	75,055
Q3 2030	274,553	152,032	70,640	81,392
Q4 2030	298,591	167,800	75,152	92,648

F4 OP	Multiple	Expected shares M	USD / share
318,186	20	12,501	509

Each joint outcome divides its own four-quarter OP by starting-quarter economic shares before per-share results are weighted. Displayed amounts use whole-number rounding.

Cash outcome 1: Planned / private commitment paid / Q4 2026

Joint model weight: 39%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	35,716	114,131	0	0	0
Q1 2027	22,616	109,882	0	0	0
Q2 2027	20,000	87,482	0	0	0
Q3 2027	20,000	61,570	0	0	0
Q4 2027	20,000	39,643	0	0	0
Q1 2028	20,000	27,320	0	0	0
Q2 2028	20,000	8,606	0	0	0
Q3 2028	20,000	0	4,310	0	0
Q4 2028	20,000	0	24,927	0	0
Q1 2029	20,000	0	25,729	0	0
Q2 2029	20,000	0	27,600	6,299	0
Q3 2029	20,000	0	27,600	14,064	0
Q4 2029	20,000	0	27,600	22,806	0
Q1 2030	32,724	0	27,600	22,806	0
Q2 2030	31,511	0	27,600	22,806	0
Q3 2030	36,729	0	27,600	22,806	0
Q4 2030	44,420	0	27,600	22,806	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 2: Planned / private commitment paid / Q2 2027

Joint model weight: 7.3125%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	34,216	114,131	0	0	0
Q1 2027	21,104	109,882	0	0	0
Q2 2027	20,000	87,458	0	0	0
Q3 2027	20,000	61,546	0	0	0
Q4 2027	20,000	39,619	0	0	0
Q1 2028	20,000	27,295	0	0	0
Q2 2028	20,000	8,581	0	0	0
Q3 2028	20,000	0	4,335	0	0
Q4 2028	20,000	0	24,952	0	0
Q1 2029	20,000	0	25,755	0	0
Q2 2029	20,000	0	27,600	6,324	0
Q3 2029	20,000	0	27,600	14,090	0
Q4 2029	20,000	0	27,600	22,832	0
Q1 2030	32,724	0	27,600	22,832	0
Q2 2030	31,510	0	27,600	22,832	0
Q3 2030	36,728	0	27,600	22,832	0
Q4 2030	44,419	0	27,600	22,832	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 3: Planned / private commitment paid / no_close

Joint model weight: 2.4375%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	34,216	114,131	0	0	0
Q1 2027	21,104	109,882	0	0	0
Q2 2027	20,000	85,958	0	0	0
Q3 2027	20,000	60,034	0	0	0
Q4 2027	20,000	38,095	0	0	0
Q1 2028	20,000	25,759	0	0	0
Q2 2028	20,000	7,033	0	0	0
Q3 2028	20,000	0	5,911	0	0
Q4 2028	20,000	0	26,529	0	0
Q1 2029	20,000	0	27,332	0	0
Q2 2029	20,000	0	27,600	7,903	0
Q3 2029	20,000	0	27,600	15,689	0
Q4 2029	20,000	0	27,600	24,452	0
Q1 2030	32,703	0	27,600	24,452	0
Q2 2030	31,468	0	27,600	24,452	0
Q3 2030	36,666	0	27,600	24,452	0
Q4 2030	44,335	0	27,600	24,452	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 4: Planned / private commitment not triggered / Q4 2026

Joint model weight: 21%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	35,716	114,131	0	0	0
Q1 2027	23,866	109,882	0	0	0
Q2 2027	20,000	89,991	0	0	0
Q3 2027	20,000	65,349	0	0	0
Q4 2027	20,000	44,703	0	0	0
Q1 2028	20,000	33,669	0	0	0
Q2 2028	20,000	16,255	0	0	0
Q3 2028	20,000	0	0	0	0
Q4 2028	20,000	0	14,555	0	0
Q1 2029	20,462	0	14,555	0	0
Q2 2029	20,000	0	20,984	0	0
Q3 2029	20,000	0	27,401	0	0
Q4 2029	20,000	0	27,600	7,099	0
Q1 2030	34,175	0	27,600	7,099	0
Q2 2030	34,424	0	27,600	7,099	0
Q3 2030	41,116	0	27,600	7,099	0
Q4 2030	50,293	0	27,600	7,099	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 5: Planned / private commitment not triggered / Q2 2027

Joint model weight: 3.9375%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	34,216	114,131	0	0	0
Q1 2027	22,354	109,882	0	0	0
Q2 2027	20,000	89,968	0	0	0
Q3 2027	20,000	65,325	0	0	0
Q4 2027	20,000	44,678	0	0	0
Q1 2028	20,000	33,645	0	0	0
Q2 2028	20,000	16,231	0	0	0
Q3 2028	20,000	0	0	0	0
Q4 2028	20,000	0	14,580	0	0
Q1 2029	20,462	0	14,580	0	0
Q2 2029	20,000	0	21,009	0	0
Q3 2029	20,000	0	27,427	0	0
Q4 2029	20,000	0	27,600	7,124	0
Q1 2030	34,175	0	27,600	7,124	0
Q2 2030	34,423	0	27,600	7,124	0
Q3 2030	41,115	0	27,600	7,124	0
Q4 2030	50,291	0	27,600	7,124	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 6: Planned / private commitment not triggered / no_close

Joint model weight: 1.3125%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	34,216	114,131	0	0	0
Q1 2027	22,354	109,882	0	0	0
Q2 2027	20,000	88,468	0	0	0
Q3 2027	20,000	63,814	0	0	0
Q4 2027	20,000	43,155	0	0	0
Q1 2028	20,000	32,109	0	0	0
Q2 2028	20,000	14,683	0	0	0
Q3 2028	20,000	0	0	0	0
Q4 2028	20,000	0	16,175	0	0
Q1 2029	20,461	0	16,175	0	0
Q2 2029	20,000	0	22,606	0	0
Q3 2029	20,000	0	27,600	1,424	0
Q4 2029	20,000	0	27,600	8,740	0
Q1 2030	34,154	0	27,600	8,740	0
Q2 2030	34,382	0	27,600	8,740	0
Q3 2030	41,053	0	27,600	8,740	0
Q4 2030	50,208	0	27,600	8,740	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 7: Half excess / private commitment paid / Q4 2026

Joint model weight: 13%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	37,306	114,131	0	0	0
Q1 2027	25,110	109,882	0	0	0
Q2 2027	20,000	90,885	0	0	0
Q3 2027	20,000	65,291	0	0	0
Q4 2027	20,000	40,768	0	0	0
Q1 2028	20,000	24,892	0	0	0
Q2 2028	20,000	1,514	0	0	0
Q3 2028	20,000	0	18,195	0	0
Q4 2028	20,000	0	27,600	18,887	0
Q1 2029	20,000	0	27,600	29,646	0
Q2 2029	20,000	0	27,600	49,136	0
Q3 2029	20,000	0	27,600	70,646	0
Q4 2029	20,000	0	27,600	94,741	0
Q1 2030	20,000	0	27,600	99,586	0
Q2 2030	20,000	0	27,600	119,909	0
Q3 2030	20,000	0	27,600	136,526	0
Q4 2030	20,000	0	27,600	154,183	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 8: Half excess / private commitment paid / Q2 2027

Joint model weight: 2.4375%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	35,806	114,131	0	0	0
Q1 2027	23,599	109,882	0	0	0
Q2 2027	20,000	90,861	0	0	0
Q3 2027	20,000	65,267	0	0	0
Q4 2027	20,000	40,744	0	0	0
Q1 2028	20,000	24,867	0	0	0
Q2 2028	20,000	1,490	0	0	0
Q3 2028	20,000	0	18,220	0	0
Q4 2028	20,000	0	27,600	18,912	0
Q1 2029	20,000	0	27,600	29,672	0
Q2 2029	20,000	0	27,600	49,162	0
Q3 2029	20,000	0	27,600	70,672	0
Q4 2029	20,000	0	27,600	94,767	0
Q1 2030	20,000	0	27,600	99,612	0
Q2 2030	20,000	0	27,600	119,936	0
Q3 2030	20,000	0	27,600	136,553	0
Q4 2030	20,000	0	27,600	154,211	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 9: Half excess / private commitment paid / no_close

Joint model weight: 0.8125%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	35,806	114,131	0	0	0
Q1 2027	23,599	109,882	0	0	0
Q2 2027	20,000	89,361	0	0	0
Q3 2027	20,000	63,755	0	0	0
Q4 2027	20,000	39,220	0	0	0
Q1 2028	20,000	23,332	0	0	0
Q2 2028	20,000	0	0	0	0
Q3 2028	20,000	0	19,796	0	0
Q4 2028	20,000	0	27,600	20,489	0
Q1 2029	20,000	0	27,600	31,269	0
Q2 2029	20,000	0	27,600	50,780	0
Q3 2029	20,000	0	27,600	72,311	0
Q4 2029	20,000	0	27,600	96,427	0
Q1 2030	20,000	0	27,600	101,294	0
Q2 2030	20,000	0	27,600	121,640	0
Q3 2030	20,000	0	27,600	138,279	0
Q4 2030	20,000	0	27,600	155,958	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 10: Half excess / private commitment not triggered / Q4 2026

Joint model weight: 7%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	37,306	114,131	0	0	0
Q1 2027	26,360	109,882	0	0	0
Q2 2027	20,000	93,395	0	0	0
Q3 2027	20,000	69,070	0	0	0
Q4 2027	20,000	45,827	0	0	0
Q1 2028	20,000	31,241	0	0	0
Q2 2028	20,000	9,164	0	0	0
Q3 2028	20,000	0	9,145	0	0
Q4 2028	20,000	0	27,600	8,568	0
Q1 2029	20,000	0	27,600	17,931	0
Q2 2029	20,000	0	27,600	36,007	0
Q3 2029	20,000	0	27,600	56,085	0
Q4 2029	20,000	0	27,600	78,729	0
Q1 2030	20,000	0	27,600	82,105	0
Q2 2030	20,000	0	27,600	100,940	0
Q3 2030	20,000	0	27,600	116,049	0
Q4 2030	20,000	0	27,600	132,179	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 11: Half excess / private commitment not triggered / Q2 2027

Joint model weight: 1.3125%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	35,806	114,131	0	0	0
Q1 2027	24,849	109,882	0	0	0
Q2 2027	20,000	93,371	0	0	0
Q3 2027	20,000	69,046	0	0	0
Q4 2027	20,000	45,803	0	0	0
Q1 2028	20,000	31,217	0	0	0
Q2 2028	20,000	9,140	0	0	0
Q3 2028	20,000	0	9,169	0	0
Q4 2028	20,000	0	27,600	8,593	0
Q1 2029	20,000	0	27,600	17,957	0
Q2 2029	20,000	0	27,600	36,033	0
Q3 2029	20,000	0	27,600	56,111	0
Q4 2029	20,000	0	27,600	78,755	0
Q1 2030	20,000	0	27,600	82,131	0
Q2 2030	20,000	0	27,600	100,967	0
Q3 2030	20,000	0	27,600	116,076	0
Q4 2030	20,000	0	27,600	132,206	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Cash outcome 12: Half excess / private commitment not triggered / no_close

Joint model weight: 0.4375%. Monetary amounts are USD million.

Quarter	Cash	Debt securities	ATM gross total	New market debt	Unfunded need
Q4 2026	35,806	114,131	0	0	0
Q1 2027	24,849	109,882	0	0	0
Q2 2027	20,000	91,871	0	0	0
Q3 2027	20,000	67,534	0	0	0
Q4 2027	20,000	44,279	0	0	0
Q1 2028	20,000	29,681	0	0	0
Q2 2028	20,000	7,592	0	0	0
Q3 2028	20,000	0	10,745	0	0
Q4 2028	20,000	0	27,600	10,170	0
Q1 2029	20,000	0	27,600	19,554	0
Q2 2029	20,000	0	27,600	37,651	0
Q3 2029	20,000	0	27,600	57,750	0
Q4 2029	20,000	0	27,600	80,415	0
Q1 2030	20,000	0	27,600	83,813	0
Q2 2030	20,000	0	27,600	102,670	0
Q3 2030	20,000	0	27,600	117,802	0
Q4 2030	20,000	0	27,600	133,954	0

Financing is assumed to occur on the modeled terms. New market debt carries coupons and fees, and new common shares affect later starting-quarter denominators.

Operating and financing sensitivities

Controlled assumption	Q4 2027 ceiling	Expected max funding gap
planned conversion 100	339	0
half excess conversion 100	302	0
Q3 hardware 1000	323	0
Q3 hardware 4000	337	0
hardware GM 20	326	0
hardware GM 30	334	0
host prices minus 10 pct	301	4,323
cash capex plus 20 pct	319	98,889
commissioning 4 q late	329	14,994
rent renewal 6000	320	0
no residual lease cost	332	0
double residual lease cost	328	0
DMA fine shared allocation	331	0
Argon no increment	330	0
Torch no increment	330	0
no new market funding	330	48,015
market debt cap 80000	330	11,263
ATM price 250	330	0
ATM price 500	330	0
new debt coupon 8 pct	330	0
Waymo 5000 draw	330	0
cash only no security sales	328	21,434
private funding full	330	0
debt earliest maturity	330	15,914
debt latest maturity	330	0

These are separate diagnostic outcomes. Failed financing access, lower debt capacity and adverse operating assumptions can make deployment unfunded. A positive gap is a capital requirement. It is separate from reported cash assets.

Numerical probability and overlap ledger

Signal	Probability	Application
Cloud conversion	75% /25%	Existing foundation and two excess-growth outcomes
Argon	60%	1% cohort,25% premium,50% overlap, paid incremental costs
TorchTPU	65%	8% cohort,5% acceleration,75% overlap, paid support
Ad-tech	65% fee /75% compliance	Defined Network wallet with traffic cost retained
Temporary capacity	100% commitment	Remaining 6 B cost over four quarters
Private commitment	65% full /35% zero	20 B conditional cash evaluated within each path
GFiber	80% /15% /5%	Dated completion cash outcomes
Company funding	Conditional modeled access	Source programs, fees, interest and future market debt

Backlog, customer and power announcements support the existing operating envelope. Carbon and agents inform defined cohorts. Zero third-party guarantee draws apply only to contingent backstops; company borrowing and equity are modeled separately.

Analytical assessment and protected Excel Base

Category	Points	Assessment
Core thesis	19	Distribution, models, TPU integration and enterprise reach support capture; established competing platforms remain.
Cycle stage	9	Paid Cloud ramp supports prior stage assessment; deployment costs and funding remain material.
TAM expansion	10	AI software, compute, security and systems expand addressable spending with overlap removed.
Catalysts	5	2027 system-delivery ramp, agentic monetization and infrastructure activation.
Macro	9	Cloud and AI demand are strong; energy and capital remain scarce.
Alpha	3	Separating hardware, rental, depreciation and funding economics remains the research edge.
Risks	-5	Monetization 1; capacity/funding/cost execution 2; competition/concentration 1; regulation/governance 1.

The positive categories total 55. The 5-point risk deduction leaves 50/60, rounded to 83. The protected Excel Base remains 88. Event probabilities and owner scores remain distinct controls.

Risks and the next tests

Risk	Evidence that would change the model
Paid AI conversion	Paid use, realized pricing and retention versus free activity
Capacity and cost	Commissioned assets, rental duration, power and depreciation
System manufacturing	Accepted systems, inventories, warranty and support economics
Funding	Executed debt/equity terms, maturity details and cash use
Competition	Portability, alternative accelerators and price compression
Regulation	Final remedies, appeals, fee economics and settlement dates

The broader opportunity includes enterprise agents, cybersecurity, data platforms, consumer commerce and physical-world use. Product reach and integration support participation. Pricing, delivery and capital costs determine retained value.

Historical forecast vintage

Published Q3 2026 forecast	Value
Revenue	126,850
Operating profit	44,641
As-then four-quarter ceiling	304

These are the preserved earlier forecast displays. New Q3 actual results are reported separately. Current financial inputs and future periods do not overwrite that information vintage.

Sources and completeness

Issuer source	Date	Coverage
q3 release	2026-10-28	Full nine-page issuer release and reconciliations.
q3 10 q	2026-10-29	Full 70-page issuer-hosted Form 10-Q including notes, MD&A, risk factors and signatures.
q3 call	2026-10-28	Full 23-page written transcript: prepared remarks, all questions and answers, closing.
q3 slides	2026-10-28	All 13 pages of the issuer earnings slides read as extracted text. Original chart artwork retained; no new visual inspection claimed.
q2 call	2026-07-22	All 27 pages read, prepared remarks, all questions/management answers, closing; pdfplumber repaired extraction spacing only; original unchanged; official audio not independently listened to

Original source files and hashes are preserved. Written management calls include full Q&A; audio was not independently audited. Product revenues, unit prices, gross margins, acceptance schedules and complete future financing are partly undisclosed and remain explicit model estimates.

Future market access, issue prices, lease activations, asset-readiness dates and detailed principal timing can differ materially from the model. The companion retains the quantified alternatives and source qualifications.